BofA SECURITIES

Samsung Electronics

PO cut due to Hynix, but stock upside still high; reiterate Buy

Reiterate Rating: BUY | PO: 450,000 KRW | Price: 232,000 KRW

3Q results and guidance clearly present super-cycle; Buy

We reiterate Buy on Samsung Electronics (SEC). Three reasons: (1) strong 3Q results (OP: W107tn; 5-10x larger than historical average); (2) bullish L-T guidance (strongly rising LTA with US Big Tech / hyperscalers; high margins sustainable with more stable memory ASPs); and (3) good execution of shareholder returns (e.g., W30tn cash dividend for end-3Q). We also raise our 2027-28 EPS forecasts by 4-6%, based on slightly higher bit growth (DRAM, NAND) and ASP assumptions. The stock is currently priced at only 4x P/E based on 2027-28 EPS consensus or our estimates. This is even lower than previous upcycle periods (5-7x in 2017-18). Robust FCF generation (annualized amount already over W300tn effective 4Q26) could lead to significant shareholder returns over the next few years, in our view. 4Q OP (our new estimate: W132tn based on memory super-cycle; consensus: W120tn) can also be an immediate catalyst, given potential upside to management's prior guidance for 2026 FCF or shareholder return budget (W90-110tn).

Use lower target P/E; Hynix relatively more interesting

SK Hynix also reported strong 3Q results (OP: W83tn), and confirmed an upbeat shareholder return budget (W100tn), based on 2026 earnings including capital gains from Kioxia investments. Hynix also said mass production and shipments of HBM4 (50%+ of total 4Q HBM sales), contrary to Street concerns over quality. We also note Hynix's stronger DRAM ASP increases and bit growth relative to SEC through 3Q/4Q. SEC's 2026 results based total shareholder returns will be disclosed in late-Jan (via 4Q earnings call). We previously used a higher target P/E for SEC (9x 2027-28 EPS) vs Hynix (7x) due to former's No. 1 position (memory) and lower earnings volatility (vs pure plays), but we now apply 7x to derive our new SEC PO of W450,000 (was W500,000) for common shares. Our PO for the GDR is cut accordingly, based on an FX rate of W1.3k/USD. That said, our PO for preferred shares (W340,000) remains unchanged, based on a 24% fair discount ratio (vs 32% earlier; management alluded to potentially more favorable buybacks vs common if the discount ratio remains high). Overall, Hynix looks more interesting (vs SEC) in terms of memory (QoQ) and capital return for now.

Estimates (Dec) (W)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - bn)	33,621	44,261	293,367	399,568	399,355
EPS	4,956	6,564	43,980	60,098	60,066
EPS Change (YoY)	133%	32%	570%	37%	0%
Consensus EPS (Visible Alpha)			45,192.53	70,983.64	76,353.01
Dividend / Share	1,446	1,668	9,948	14,961	15,331
GDR EPS (US$)	91	115	822	1,123	1,123
GDR Dividend / Share (US$)	27	29	186	280	287
Valuation (Dec)					
P/E	46.8x	35.3x	5.3x	3.9x	3.9x
Dividend Yield	0.6%	0.7%	4.3%	6.4%	6.6%
EV / EBITDA*	18.2x	15.2x	3.1x	2.4x	2.4x
Free Cash Flow Yield*	1.4%	2.4%	17.3%	22.4%	21.9%

* For full definitions of IQmethod℠ measures, see page 32.

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Refer to important disclosures on page 34 to 38. Analyst Certification on page 31. Price Objective Basis/Risk on page 30. 13036460

30 October 2026

Equity

Key Changes

(W)	Previous	Current
Price Obj.	500,000	450,000
2026E EPS	43,214	43,980
2027E EPS	57,858	60,098
2028E EPS	56,675	60,066

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Stock Data

Price (Common / GDR / Pref)	232,000 KRW / 4,316 USD / 183,900 KRW
Price Objective	450,000 KRW / 8,400 USD / 340,000 KRW
Date Established	30-Oct-2026 / 30-Oct-2026 / 12-Sep-2026
Investment Opinion	C-1-7 / C-1-7 / C-1-7
52-Week Range	93,500 KRW-380,000 KRW
Market Value (mn)	1,179,124 USD
Market Value (mn)	1,575,899,266 KRW
Shares Outstanding (mn)	6,792.7 / 271.7 / 802.4
Average Daily Value (mn)	4,742 USD
Free Float	80.4%
BofA Ticker / Exchange	SSNLF / KSC
BofA Ticker / Exchange	SSNHZ / LIN
BofA Ticker / Exchange	SSNNF / KSC
Bloomberg / Reuters	005930 KS / 005930.KS
ROE (2026E)	53.6%
Net Dbt to Eqty (Dec-2025A)	-23.1%

ASP: Average selling price
DRAM: Dynamic random-access memory
GDR: Global depositary receipt
HBM: High bandwidth memory
HBM4: 6th gen of HBM
LTA: Long-term agreement
OPM: Operating profit margin
NAND: Not-AND memory

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*iQ*profile℠ Samsung Electronics

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(W Billions)					
Sales	300,871	333,606	723,014	920,776	974,970
Gross Profit	114,309	131,370	498,077	653,468	667,766
Sell General & Admin Expense	(46,585)	(50,029)	(54,725)	(60,110)	(68,159)
Operating Profit	32,726	43,601	386,470	529,089	527,882
Net Interest & Other Income	4,804	5,880	(1,045)	6,056	7,097
Associates	NA	NA	NA	NA	NA
Pretax Income	37,530	49,481	385,425	535,144	534,980
Tax (expense) / Benefit	(3,078)	(4,275)	(91,221)	(133,786)	(133,745)
Net Income (Adjusted)	33,621	44,261	293,367	399,568	399,355
Average Fully Diluted Shares Outstanding	6.783	6.743	6.670	6.649	6.649
Key Cash Flow Statement Data					
Net Income	33,621	44,261	293,367	399,568	399,355
Depreciation & Amortization	42,631	46,927	51,688	54,623	56,841
Change in Working Capital	(231)	2,285	(43,633)	(6,553)	(7,771)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(3,039)	(8,158)	56,004	0	0
Cash Flow from Operations	72,983	85,315	357,426	447,638	448,425
Capital Expenditure	(51,406)	(47,522)	(85,535)	(94,300)	(103,100)
(Acquisition) / Disposal of Investments	NA	NA	NA	NA	NA
Other Cash Inflow / (Outflow)	(33,975)	(20,990)	(67,915)	0	0
Cash Flow from Investing	(85,382)	(68,512)	(153,450)	(94,300)	(103,100)
Shares Issue / (Repurchase)	(1,812)	(9,897)	(25,749)	0	0
Cost of Dividends Paid	(10,889)	(9,897)	(38,682)	(65,076)	(98,243)
Cash Flow from Financing	(7,797)	(13,478)	(80,292)	(100,636)	(103,136)
Free Cash Flow	21,576	37,793	271,891	353,338	345,325
Net Debt	(93,322)	(100,608)	(250,923)	(504,296)	(747,130)
Change in Net Debt	26,841	2,584	(131,904)	(253,373)	(242,834)
Key Balance Sheet Data					
Property, Plant & Equipment	205,945	215,305	248,090	287,767	334,027
Other Non-Current Assets	81,524	103,953	143,161	147,345	151,732
Trade Receivables	43,623	51,128	102,914	105,480	107,513
Cash & Equivalents	112,652	125,847	267,943	520,645	762,834
Other Current Assets	70,787	70,710	94,989	94,493	95,918
Total Assets	514,532	566,942	857,097	1,155,730	1,452,024
Long-Term Debt	3,950	6,487	7,336	7,047	6,769
Other Non-Current Liabilities	15,063	17,724	35,672	36,391	37,124
Short-Term Debt	15,380	18,752	9,683	9,302	8,935
Other Current Liabilities	77,947	87,659	120,092	115,608	111,295
Total Liabilities	112,340	130,622	172,783	168,347	164,124
Total Equity	402,192	436,320	684,314	987,383	1,287,900
Total Equity & Liabilities	514,532	566,942	857,097	1,155,730	1,452,024
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	7.9%	9.5%	48.5%	45.1%	33.6%
Return On Equity	9.0%	10.8%	53.6%	48.6%	35.6%
Operating Margin	10.9%	13.1%	53.5%	57.5%	54.1%
EBITDA Margin	25.0%	27.1%	60.6%	63.4%	60.0%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	2.2x	1.9x	1.2x	1.1x	1.1x
Asset Replacement Ratio	1.2x	1.0x	1.7x	1.7x	1.8x
Tax Rate (Reported)	8.2%	8.6%	23.7%	25.0%	25.0%
Net Debt-to-Equity Ratio	-23.2%	-23.1%	-36.7%	-51.1%	-58.0%
Interest Cover	NA	NA	NM	NA	NA

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 32.

Company Sector

Electrical Equipment

Company Description

Samsung's dominant leadership in the global IT industry should continue thanks to its substantial capex spend and ample financial resources. It is ranked No. 1 globally in smartphone, semis memory, display and TVs. New tech such as HBM3e/4, CXL DRAM, 3D NAND, 2nm semis foundry and flexible OLED will offer long-term opportunities, but the company faces intense competition from memory peers, China OEMs, etc.

Investment Rationale

Our Buy rating is based on the memory cycle upturn, which is expected to continue into 2027-28E. True, the share price has more than doubled over the past 12 months, but we expect further upside, enabling the P/E to rebound to 7x or above, supported by new HBM ramp-up, DRAM and NAND price strength, narrowing foundry loss, positive ROE, FCF generation, disciplined capex, robust dividend and buybacks.

Stock Data

Shares / GDR	25.00
Price to Book Value	2.4x

Key Changes

(US$)	Previous	Current
Price Obj.	9,300.00	8,400.00
2026E EPS	807.65	821.97
2027E EPS	1,081.34	1,123.19
2028E EPS	1,059.23	1,122.60

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Key charts/tables after 3Q26 results

Exhibit 1: Robust 3Q OP of W107.4tn clearly confirms a super-cycle trend with a 55% OPM (sales: W195.0tn – up 127% YoY). The key contributor should be memory ASP (DRAM/NAND +20% QoQ) and OPM (81%/71%).
Samsung Electronics (SEC) – 3Q26 earnings vs our estimate and consensus

(Wtn, Won)	Actual	QoQ	YoY	Cons	Act vs Cons	Our est	Act vs our est
Sales	**195.3**	**14%**	**127%**	**199.9**	**-2%**	**195.0**	**0%**
GM	69.3%	8.1%pt	35.1%pt	71.1%	-1.8%pt	71.7%	-2.4%pt
Opex	27.9	-7%	31%	33.2	-16%	32.4	-14%
OP	**107.4**	**20%**	**783%**	**108.9**	**-1%**	**107.4**	**0%**
OPM	**55.0%**	**2.8%pt**	**40.9%pt**	**54.5%**	**0.5%pt**	**55.1%**	**0.0%pt**
Pre-tax	98.5	4%	627%	111.2	-11%	108.7	-9%
Effective tax rate	23.7%	-0.4%pt	14.0%pt	21.8%	2.0%pt	25.0%	-1.3%pt
NP (GAAP)	75.2	6%	526%	87.0	-14%	81.1	-7%
EPS (GAAP)	**11,312**	**6%**	**535%**	**13,352**	**-15%**	**12,202**	**-7%**
BVPS (GAAP)	91,985	7%	52%	97,348	-6%	93,894	-2%
DPS	**4,601**	**1130%**	**1144%**	**2,054**	**124%**	**4,569**	**1%**

Source: Company, Bloomberg, BofA Global Research estimates. est = estimate. Cons = consensus. diff = difference.

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Exhibit 2: Both consensus and our estimates expect robust OP to continue in 2027-28E (W500tn+ pa) on the back of memory super-cycle
SEC – 2026-28E annual earnings; our estimate vs. consensus

	2025	2026E			2027E			2028E		
(Wtn, Won)	Actual	Our est	Cons	Diff	Our est	Cons	Diff	Our est	Cons	Diff
Sales	333.6	723.0	716.8	1%	920.8	973.7	-5%	975.0	1,089.9	-11%
OP	**43.6**	**386.5**	**374.6**	**3%**	**529.1**	**572.0**	**-7%**	**527.9**	**619.5**	**-15%**
OPM	13.1%	53.5%	52.3%	1.2%pt	57.5%	58.7%	-1.3%pt	54.1%	56.8%	-2.7%pt
Pre-tax	49.5	385.4	384.5	0%	535.1	581.7	-8%	535.0	635.8	-16%
Tax	4.3	91.2	85.0	7%	133.8	127.6	5%	133.7	140.1	-5%
Implied tax rate	9%	24%	22%	1.6%pt	25%	22%	3.1%pt	25%	22%	3.0%pt
NP	**44.3**	**293.4**	**299.5**	**-2%**	**399.6**	**454.2**	**-12%**	**399.4**	**495.7**	**-19%**
EPS - Won	**6,564**	**43,980**	**46,977**	**-6%**	**60,098**	**72,063**	**-17%**	**60,066**	**78,582**	**-24%**
BVPS - Won	63,997	102,746	107,005	-4%	148,170	166,233	-11%	193,917	227,333	-15%

Source: Company, Bloomberg, BofA Global Research estimates. est = estimate. Cons = consensus. diff = difference.

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Exhibit 3: We raise our 2027-28 EPS forecasts by 4-6%, based on slightly higher bit growth (DRAM, NAND) and ASP assumptions
SEC – Earnings revisions (2026-28E)

Wtn, Won	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
EPS - fully diluted																
New	6,993	10,719	11,312	15,009	14,439	14,515	15,454	15,689	5,777	8,057	2,131	4,956	6,564	43,980	60,098	60,066
Old	6,993	10,719	12,202	13,350	13,679	14,136	14,684	15,359	5,777	8,057	2,131	4,956	6,564	43,214	57,858	56,675
Difference	n/a	n/a	-7%	12%	6%	3%	5%	2%	n/a	n/a	n/a	n/a	n/a	2%	4%	6%
Dividend/share																
New	372	374	4,601	4,601	370	370	4,601	9,620	1,444	1,444	1,444	1,446	1,668	9,948	14,961	15,331
Old	372	374	4,569	4,569	370	370	370	9,620	1,444	1,444	1,444	1,446	1,668	9,883	10,730	11,100
Difference	n/a	n/a	1%	1%	0%	0%	1144%	0%	n/a	n/a	n/a	n/a	n/a	1%	39%	38%
Sales																
New	133.9	171.5	195.3	222.4	219.1	217.5	242.1	242.1	279.6	302.2	258.9	300.9	333.6	723.0	920.8	975.0
Old	133.9	171.5	195.0	196.4	210.8	208.2	230.0	237.5	279.6	302.2	258.9	300.9	333.6	696.8	886.5	967.9
Difference	n/a	n/a	0%	13%	4%	4%	5%	2%	n/a	n/a	n/a	n/a	n/a	4%	4%	1%
OP																
New	57.2	89.5	107.4	132.3	127.2	127.8	135.9	138.2	51.6	43.4	6.6	32.7	43.6	386.5	529.1	527.9
Old	57.2	89.5	107.4	117.6	120.2	120.7	129.4	135.4	51.6	43.4	6.6	32.7	43.6	371.7	505.7	494.8
Difference	n/a	n/a	0%	13%	6%	6%	5%	2%	n/a	n/a	n/a	n/a	n/a	4%	5%	7%
OP margin																
New	42.8%	52.2%	55.0%	59.5%	58.1%	58.8%	56.1%	57.1%	18.5%	14.4%	2.5%	10.9%	13.1%	53.5%	57.5%	54.1%
Old	42.8%	52.2%	55.1%	59.9%	57.0%	58.0%	56.3%	57.0%	18.5%	14.4%	2.5%	10.9%	13.1%	53.3%	57.0%	51.1%
Difference %pt	n/a	n/a	0.0%	-0.4%	1.0%	0.8%	-0.1%	0.1%	n/a	n/a	n/a	n/a	n/a	0.1%	0.4%	3.0%
FX - avg (W/USD)																
New	1,467	1,502	1,418	1,325	1,308	1,300	1,300	1,300	1,144	1,291	1,306	1,365	1,423	1,428	1,302	1,300
Old	1,467	1,502	1,418	1,328	1,308	1,300	1,300	1,300	1,144	1,291	1,306	1,365	1,423	1,429	1,302	1,300
Difference	n/a	n/a	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
Net non-OP																
New	1.6	4.9	-8.9	1.3	1.4	1.4	1.7	1.5	1.7	3.1	4.4	4.8	5.9	-1.0	6.1	7.1
Old	1.6	4.9	1.3	1.3	1.6	5.2	1.4	1.4	1.7	3.1	4.4	4.8	5.9	9.2	9.6	10.1
Difference	n/a	n/a	-770%	0%	-16%	-73%	23%	11%	n/a	n/a	n/a	n/a	n/a	-111%	-37%	-30%
Tax rate - effective																
New	19.7%	24.2%	23.7%	25.0%	25.0%	25.0%	25.0%	25.0%	25.2%	-19.8%	-40.7%	8.2%	8.6%	23.7%	25.0%	25.0%
Old	19.7%	24.2%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.2%	-19.8%	-40.7%	8.2%	8.6%	24.0%	25.0%	25.0%
Difference %pt	n/a	n/a	-1.3%	0.0%	0.0%	0.0%	0.0%	0.0%	n/a	n/a	n/a	n/a	n/a	-0.3%	0.0%	0.0%
NP after minority int																
New	47.1	71.3	75.2	99.8	96.0	96.5	102.7	104.3	39.2	54.7	14.5	33.6	44.3	293.4	399.6	399.4
Old	47.1	71.3	81.1	88.8	90.9	94.0	97.6	102.1	39.2	54.7	14.5	33.6	44.3	288.3	384.7	376.8
Difference	n/a	n/a	-7%	12%	6%	3%	5%	2%	n/a	n/a	n/a	n/a	n/a	2%	4%	6%
ROE - annualized																
New	41.9%	54.9%	51.6%	62.9%	53.6%	47.6%	45.9%	43.8%	13.9%	17.1%	4.1%	9.0%	10.8%	53.6%	48.6%	35.6%
Old	41.9%	54.9%	54.9%	54.9%	50.5%	46.4%	43.2%	42.0%	13.9%	17.1%	4.1%	9.0%	10.8%	52.4%	46.1%	32.9%
Difference %pt	n/a	n/a	-3%	8%	3%	1%	3%	2%	n/a	n/a	n/a	n/a	n/a	1%	2%	3%
EBITDA																
New	69.6	102.5	120.4	145.6	140.7	141.4	149.6	152.0	85.9	82.5	45.2	75.4	90.5	438.2	583.7	584.7
Old	69.6	102.5	120.6	131.1	133.9	134.5	143.3	149.5	85.9	82.5	45.2	75.4	90.5	423.8	561.2	552.6
Difference	n/a	n/a	0%	11%	5%	5%	4%	2%	n/a	n/a	n/a	n/a	n/a	3%	4%	6%
Capex spend																
New	17.1	14.1	26.9	27.4	22.7	24.6	23.8	23.2	47.1	49.4	57.6	51.4	47.5	85.5	94.3	103.1
Old	17.1	14.1	22.4	24.0	22.7	22.6	22.8	23.2	47.1	49.4	57.6	51.4	47.5	77.6	91.3	99.0
Difference	n/a	n/a	20%	14%	0%	9%	4%	0%	n/a	n/a	n/a	n/a	n/a	10%	3%	4%
Net cash																
New	119	168	198	251	328	409	471	504	106	105	80	93	101	251	504	747
Old	119	168	203	253	325	406	492	523	106	105	80	93	101	253	523	776
Difference	n/a	n/a	-2%	-1%	1%	1%	-4%	-4%	n/a	n/a	n/a	n/a	n/a	-1%	-4%	-4%
BVPS (Wk, period-end)																
New	72	86	92	103	116	131	142	148	44	51	52	58	64	103	148	194
Old	72	86	94	103	116	130	145	151	44	51	52	58	64	103	151	198
Difference	n/a	n/a	-2%	0%	0%	0%	-2%	-2%	n/a	n/a	n/a	n/a	n/a	0%	-2%	-2%

Source: Company, BofA Global Research estimates

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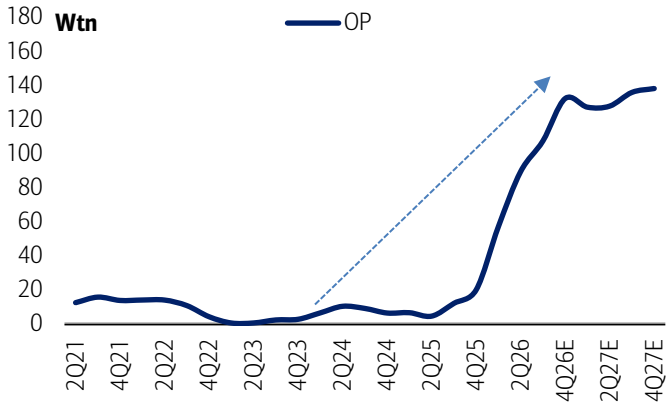
Exhibit 4: Our more positive 2027-28E OP estimates are primarily semis-centric (much stronger DRAM/NAND recovery, mostly price-driven)
SEC – OP forecast changes (2026-28E)

Wtn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
New estimates																
Semis	53.70	89.20	106.50	133.66	128.31	129.33	136.79	138.44	29.20	23.82	-14.87	15.12	24.90	383.06	532.88	526.38
Display	0.40	0.70	1.10	0.89	0.47	0.45	0.71	0.86	4.45	5.95	5.57	3.76	4.20	3.09	2.49	3.06
IM	2.80	-0.70	-0.60	-2.01	-1.61	-1.89	-1.59	-1.00	13.65	11.38	13.01	10.66	12.90	-0.51	-6.09	-2.10
CE	0.20	-0.01	-0.20	-0.55	-0.22	-0.35	-0.35	-0.46	3.64	1.35	1.26	1.70	-0.20	-0.56	-1.38	-0.76
Auto (Harman)	0.20	0.40	0.60	0.33	0.25	0.31	0.33	0.30	0.59	0.88	1.17	1.32	1.50	1.53	1.20	1.30
Others & adj	-0.07	-0.10	0.04	0.00	0.00	0.00	0.00	0.00	0.10	0.00	0.43	0.16	0.30	-0.12	0.00	0.00
Total OP	**57.23**	**89.49**	**107.44**	**132.30**	**127.21**	**127.84**	**135.89**	**138.15**	**51.63**	**43.38**	**6.57**	**32.73**	**43.60**	**386.47**	**529.09**	**527.88**
Old estimates																
Semis	53.70	89.20	108.55	118.58	120.97	121.73	129.71	135.05	29.20	23.82	-14.87	15.12	24.90	370.03	507.46	490.57
Display	0.40	0.70	1.00	1.09	0.53	0.69	0.86	0.93	4.45	5.95	5.57	3.76	4.20	3.19	3.00	3.48
IM	2.80	-0.70	-1.63	-2.21	-1.79	-2.06	-1.50	-0.99	13.65	11.38	13.01	10.66	12.90	-1.74	-6.33	-1.57
CE	0.20	-0.01	-0.42	-0.22	0.16	-0.06	-0.11	0.00	3.64	1.35	1.26	1.70	-0.20	-0.45	-0.02	0.50
Auto (Harman)	0.20	0.40	0.37	0.35	0.33	0.40	0.43	0.40	0.59	0.88	1.17	1.32	1.50	1.32	1.56	1.84
Others & adj	-0.07	-0.10	-0.47	0.00	0.00	0.00	0.00	0.00	0.10	0.00	0.43	0.16	0.30	-0.63	0.00	0.00
Total OP	**57.23**	**89.49**	**107.40**	**117.60**	**120.20**	**120.70**	**129.37**	**135.38**	**51.63**	**43.38**	**6.57**	**32.73**	**43.60**	**371.72**	**505.66**	**494.82**
Difference																
Semis	n/a	n/a	-2.05	15.07	7.34	7.60	7.08	3.39	n/a	n/a	n/a	n/a	n/a	13.03	25.41	35.81
Display	n/a	n/a	0.10	-0.20	-0.06	-0.24	-0.15	-0.06	n/a	n/a	n/a	n/a	n/a	-0.11	-0.51	-0.42
IM	n/a	n/a	1.03	0.19	0.17	0.16	-0.09	-0.01	n/a	n/a	n/a	n/a	n/a	1.22	0.24	-0.52
CE	n/a	n/a	0.22	-0.33	-0.37	-0.30	-0.24	-0.46	n/a	n/a	n/a	n/a	n/a	-0.11	-1.36	-1.26
Auto (Harman)	n/a	n/a	0.23	-0.03	-0.08	-0.09	-0.09	-0.09	n/a	n/a	n/a	n/a	n/a	0.20	-0.36	-0.55
Others & adj	n/a	n/a	0.51	0.00	0.00	0.00	0.00	0.00	n/a	n/a	n/a	n/a	n/a	0.51	0.00	0.00
Total OP	**n/a**	**n/a**	**0.04**	**14.71**	**7.00**	**7.14**	**6.51**	**2.77**	**n/a**	**n/a**	**n/a**	**n/a**	**n/a**	**14.75**	**23.42**	**33.07**

Note: IM (information / mobile) includes mobile (smartphone, etc) and network (5G basestation, etc) – currently known as MX (mobile eXperience); CE (consumer electronics) includes TV and home appliances; "Others & adj" refer to eliminated internal transactions (e.g., DRAM chip used in GS24 smartphone)
Source: Company, BofA Global Research estimates

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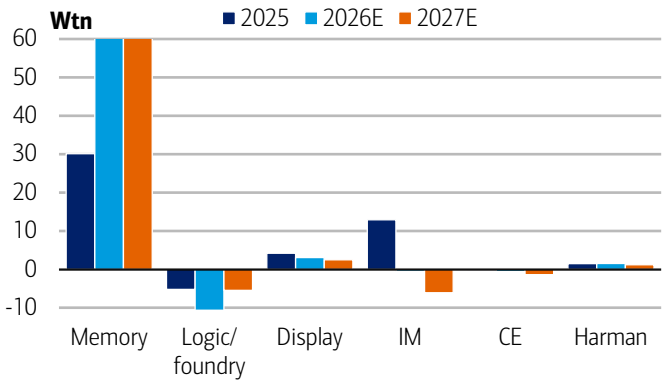
Exhibit 5: Robust 3Q OP (W107tn; up 20% QoQ or nearly 9x higher than a year ago) should be mostly attributed to much strong memory margin (DRAM 81% and NAND 71%); we expect robust OP to continue in 4Q26-27 (W100tn+ each quarter)
SEC – Quarterly OP trend



Source: Company, BofA Global Research estimates

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Exhibit 6: Memory OP still much higher vs other businesses; IM (currently known as MX) refers to smartphones, and CE means TVs and consumer electronics
SEC – Annual OP by business unit



*Memory OP W383/510tn in 2026/27E
Source: Company, BofA Global Research estimates

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VX:FCCNN88

Exhibit 7: We expect strong DRAM OP margin at 80%+ range in 4Q26 primarily driven by solid ASP hike (up 8% QoQ even after 20% growth in 3Q); we assume record-high margin to be sustainable at 75%+ level in 2027E due to more favorable chip pricing environment; also, NAND OP margin should likely remain solid at 60%+ range in 2027, as already well-proved in 1H driven by exceptionally strong ASP growth (up 20% QoQ assumed in 3Q even after +88%/67% in 1Q/2Q) due to robust eSSD demand

SEC – Memory assumption changes (2026-28E)

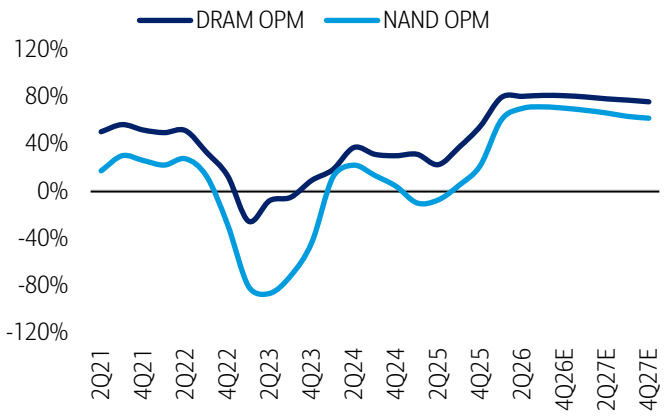
(%)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
FX KRW/USD - period avg																
New	1,467	1,502	1,418	1,325	1,308	1,300	1,300	1,300	1,144	1,291	1,306	1,365	1,423	1,428	1,302	1,300
Old	1,467	1,502	1,418	1,328	1,308	1,300	1,300	1,300	1,144	1,291	1,306	1,365	1,423	1,429	1,302	1,300
Revision %pt	n/a	n/a	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	0%	0%	0%
DRAM ASP chg (QoQ/YoY)																
New	91%	45%	20%	8%	5%	2%	1%	-2%	13%	-15%	-43%	58%	21%	296%	30%	-8%
Old	91%	45%	23%	8%	5%	2%	2%	1%	13%	-15%	-43%	58%	21%	300%	34%	-5%
Revision %pt	n/a	n/a	-3%	0%	0%	0%	-1%	-3%	n/a	n/a	n/a	n/a	n/a	-3%	-4%	-3%
DRAM bit growth (QoQ/YoY)																
New	3%	11%	4%	17%	-5%	3%	8%	5%	27%	-1%	9%	14%	12%	33%	20%	18%
Old	3%	11%	5%	1%	3%	3%	8%	5%	27%	-1%	9%	14%	12%	29%	17%	18%
Revision %pt	n/a	n/a	-1%	16%	-8%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	5%	2%	0%
DRAM OPM																
New	79.3%	80.2%	81.0%	80.7%	79.7%	78.1%	77.0%	75.6%	50.1%	40.8%	-4.4%	29.7%	39.9%	80.5%	77.5%	72.1%
Old	79.3%	80.2%	74.6%	79.7%	77.8%	76.0%	74.9%	73.9%	50.1%	40.8%	-4.4%	29.7%	39.9%	78.2%	75.6%	67.1%
Revision %pt	n/a	n/a	6.4%	1.1%	1.9%	2.0%	2.1%	1.6%	n/a	n/a	n/a	n/a	n/a	2.3%	1.9%	5.0%
NAND ASP chg (QoQ/YoY)																
New	88%	67%	20%	3%	0%	-3%	-5%	-3%	-9%	-15%	-45%	66%	-7%	283%	14%	-12%
Old	88%	67%	20%	3%	0%	-3%	-5%	-3%	-9%	-15%	-45%	66%	-7%	282%	14%	-12%
Revision %pt	n/a	n/a	0%	0%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	n/a	1%	0%	0%
NAND bit growth (QoQ/YoY)																
New	7%	3%	7%	15%	-5%	2%	8%	8%	37%	3%	16%	11%	3%	20%	18%	17%
Old	7%	3%	7%	8%	0%	3%	9%	8%	37%	3%	16%	11%	3%	18%	20%	17%
Revision %pt	n/a	n/a	0%	7%	-5%	-1%	-1%	0%	n/a	n/a	n/a	n/a	n/a	2%	-2%	-1%
NAND OPM																
New	60.3%	70.0%	71.3%	70.2%	68.4%	66.1%	63.2%	61.7%	20.4%	13.1%	-67.7%	13.0%	4.3%	69.2%	64.8%	56.8%
Old	60.3%	70.0%	64.6%	66.0%	63.3%	60.3%	56.5%	54.3%	20.4%	13.1%	-67.7%	13.0%	4.3%	65.8%	58.5%	48.3%
Revision %pt	n/a	n/a	6.6%	4.2%	5.1%	5.8%	6.7%	7.5%	n/a	n/a	n/a	n/a	n/a	3.4%	6.3%	8.4%

Source: Company, BofA Global Research estimates

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Exhibit 8: Up-cycle DRAM margin (OPM 70%+ range) likely to prolong thanks to robust conventional DRAM price hike and solid demand for HBM/DDR5; strong NAND margin recovery assumed in 2026 (60%+)

SEC – DRAM and NAND OP margin

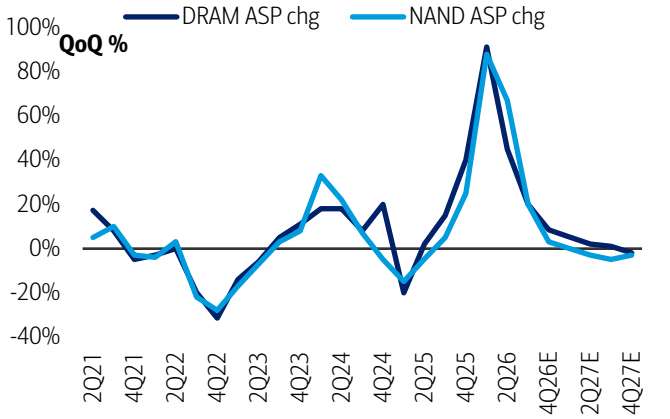


Source: Company reports, BofA Global Research estimates

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Exhibit 9: Robust ASP hike in 3Q26 (DRAM/NAND +20% QoQ) and solid growth still assumed in 4Q (DRAM +8%, NAND +3%)

SEC – DRAM and NAND ASP trend – QoQ changes



Source: Company reports, BofA Global Research estimates

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VX:FCCNN88

Exhibit 10: Samsung's potential upside could come from more normalized HBM price (2026-28) vs 2025 bottom, focused on NVIDIA's Tier 2 customers (ex-US data centers) and Big Tech companies (Amazon, Google, Broadcom, AMD, etc.)

SEC – HBM earnings outlook

	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
HBM																
Sales, US$bn	**2.82**	**4.45**	**6.74**	**10.10**	**12.14**	**12.88**	**14.59**	**15.91**	**1.84**	**6.75**	**6.46**	**24.11**	**55.52**	**73.87**	**84.96**	**98.46**
% to DRAM sales	7.2%	7.0%	8.5%	10.1%	12.1%	12.3%	12.7%	13.5%	8.4%	17.2%	12.1%	8.6%	12.7%	15.6%	17.2%	20.1%
Shipment, GB bn	**0.24**	**0.30**	**0.42**	**0.59**	**0.62**	**0.63**	**0.70**	**0.76**	**0.20**	**0.61**	**0.66**	**1.55**	**2.71**	**3.67**	**4.58**	**5.59**
ASP, US$/GB	**11.63**	**14.77**	**16.10**	**17.22**	**19.72**	**20.31**	**20.72**	**20.93**	**9.31**	**11.00**	**9.76**	**15.56**	**20.46**	**20.15**	**18.54**	**17.61**
Price premium	31%	14%	3%	1%	11%	12%	14%	18%	440%	335%	200%	12%	14%	24%	11%	13%
Cost, US$/GB	6.7	6.5	6.9	7.3	7.4	7.4	7.1	7.0	5.8	7.4	7.8	6.9	7.2	6.5	6.1	5.7
OP, US$bn	**1.20**	**2.48**	**3.87**	**5.80**	**7.58**	**8.18**	**9.58**	**10.55**	**0.70**	**2.22**	**1.29**	**13.35**	**35.89**	**49.87**	**57.05**	**66.80**
OP margin	**43%**	**56%**	**57%**	**57%**	**62%**	**64%**	**66%**	**66%**	**38%**	**33%**	**20%**	**55%**	**65%**	**68%**	**67%**	**68%**
Wafer capa, kwpm	**160**	**170**	**180**	**200**	**220**	**240**	**250**	**275**	**45**	**78**	**133**	**178**	**246**	**298**	**312**	**322**
QoQ/YoY																
Sales	27%	57%	52%	50%	20%	6%	13%	9%		267%	-4%	273%	130%	33%	15%	16%
Shipment	5%	24%	39%	40%	5%	3%	11%	8%		210%	8%	134%	75%	35%	25%	22%
ASP	21%	27%	9%	7%	15%	3%	2%	1%		18%	-11%	59%	31%	-2%	-8%	-5%
Cost	13%	-2%	5%	7%	1%	0%	-4%	-1%		28%	6%	-11%	4%	-9%	-7%	-7%
OP	41%	106%	56%	50%	31%	8%	17%	10%		217%	-42%	931%	169%	39%	14%	17%
Wafer capa	7%	6%	6%	11%	10%	9%	4%	10%		72%	71%	34%	39%	21%	5%	3%
HBM shipment mix																
HBM5 & above	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	4.5%	60.0%	80.0%
HBM4e	0.0%	0.0%	0.0%	0.0%	0.0%	0.2%	3.0%	10.0%	0.0%	0.0%	0.0%	0.0%	3.6%	69.2%	34.0%	18.0%
HBM4	**1.0%**	**20.0%**	**60.0%**	**75.0%**	**88.0%**	**93.0%**	**95.0%**	**89.0%**	**0.0%**	**0.0%**	**0.0%**	**48.7%**	**91.3%**	**26.2%**	**6.0%**	**2.0%**
HBM3e	**95.0%**	**78.0%**	**39.0%**	**25.0%**	**12.0%**	**6.8%**	**2.0%**	**1.0%**	**0.0%**	**19.8%**	**77.3%**	**50.1%**	**5.1%**	**0.2%**	**0.0%**	**0.0%**
HBM3	3.0%	2.0%	1.0%	0.0%	0.0%	0.0%	0.0%	0.0%	6.3%	58.1%	18.4%	1.1%	0.0%	0.0%	0.0%	0.0%
HBM2e & below	1.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	93.7%	22.1%	4.4%	0.2%	0.0%	0.0%	0.0%	0.0%
Mix total	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**
Hi-mix																
20-hi & above	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.3%	1.0%	20.0%
16-hi	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.3%	0.0%	0.0%	0.0%	0.0%	0.1%	29.5%	59.0%	60.0%
12-hi	51.0%	60.0%	75.0%	85.0%	93.0%	97.0%	99.0%	99.0%	0.0%	0.4%	17.2%	72.1%	97.2%	70.0%	40.0%	20.0%
8-hi	49.0%	40.0%	25.0%	15.0%	7.0%	3.0%	1.0%	0.7%	100.0%	99.6%	82.8%	27.9%	2.7%	0.3%	0.0%	0.0%
Hi-mix total	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**
% HBM to DRAM																
Sales	7%	7%	9%	10%	12%	12%	13%	13%	8%	17%	12%	9%	13%	16%	17%	20%
Shipment	6%	6%	8%	10%	11%	11%	11%	12%	2%	5%	4%	8%	11%	13%	15%	16%
OP	4%	5%	6%	7%	10%	10%	11%	12%	-72%	19%	6%	6%	11%	15%	38%	45%
Wafer capa	24%	24%	25%	27%	29%	30%	31%	34%	6%	11%	20%	25%	31%	36%	37%	38%
QoQ/YoY																
Sales	106%	62%	23%	25%	-2%	5%	9%	2%		62%	44%	450%	49%	5%	12%	0%
Shipment	3%	10%	2%	15%	-6%	3%	8%	5%		10%	12%	29%	15%	15%	9%	8%
ASP	100%	46%	21%	9%	4%	2%	1%	-3%		47%	29%	327%	29%	-9%	3%	-7%
Cost	-17%	47%	13%	8%	12%	13%	8%	5%		-4%	4%	28%	55%	19%	-5%	-5%
OP	197%	61%	24%	25%	-4%	2%	7%	0%		-664%	112%	968%	42%	-4%	16%	0%
Wafer capa	1%	3%	3%	2%	-1%	1%	0%	-5%		-3%	-16%	0%	2%	-3%	0%	1%

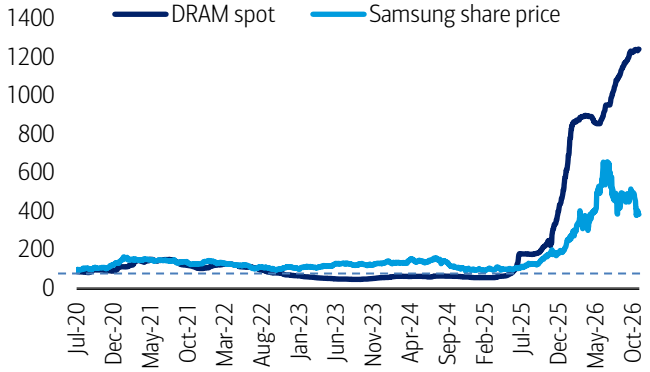
Source: Company reports, BofA Global Research estimates

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Samsung performance vs spot, indicator, peers

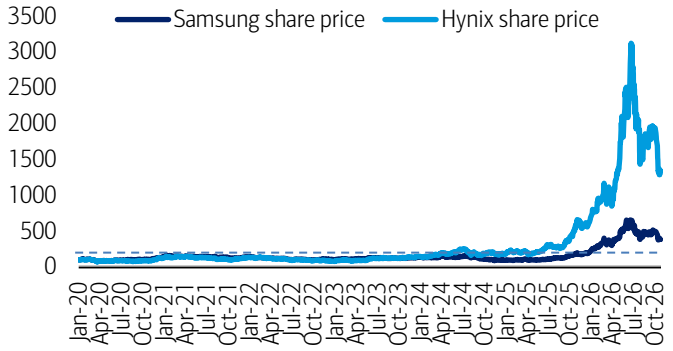
Exhibit 11: Recently less correlated; stock recently corrected vs resilient DRAM price
Samsung share price versus DRAM spot price trend



Source: Company, DRAMeXchange, BofA Global Research

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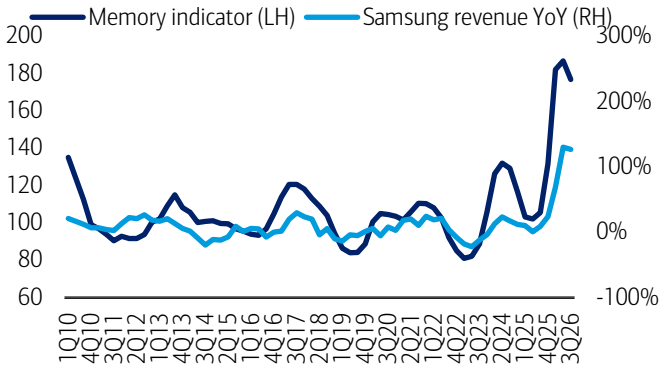
Exhibit 12: Hynix share price hit an all-time high in Jun-26 and thereafter corrected due to uncertain geopolitical issues and profit booking
Samsung vs SK Hynix share price trend



Share price indexed to 100 in Jan2020
Source: Bloomberg, BofA Global Research

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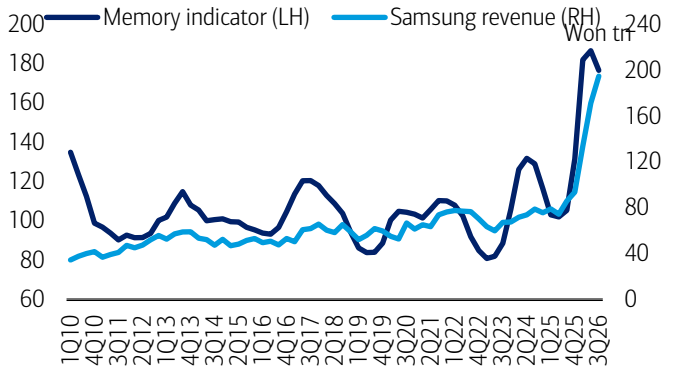
Exhibit 13: Samsung revenue change YoY is highly correlated with BofA memory indicator
Samsung revenue change (YoY) vs memory indicator



Source: Company, BofA Global Research estimates

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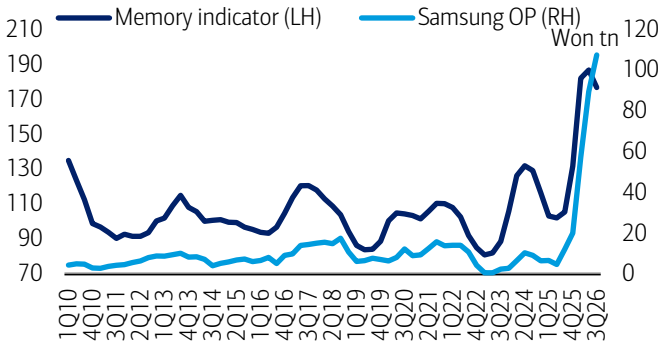
Exhibit 14: Recent robust Samsung revenue trend in-line with memory indicator performance
Samsung revenue (in Won tn) vs memory indicator



Source: Company, BofA Global Research estimates

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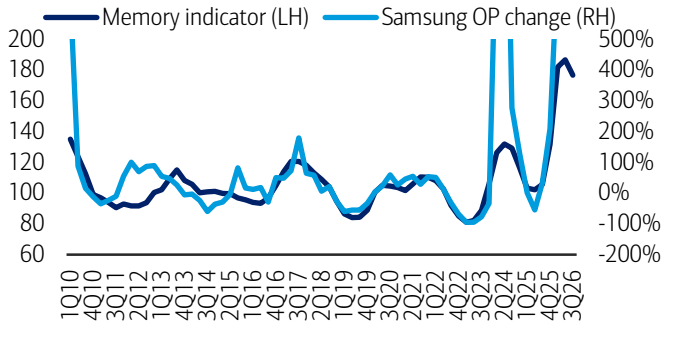
Exhibit 15: OP trend also significantly relevant to indicator and both have recently outperformed
Samsung OP (in Won tn) vs memory indicator



Source: Company, BofA Global Research estimates

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Exhibit 16: OP also recently outperformed due to high margin products like HBM and server DDR5 modules
Samsung OP change (YoY) vs memory indicator



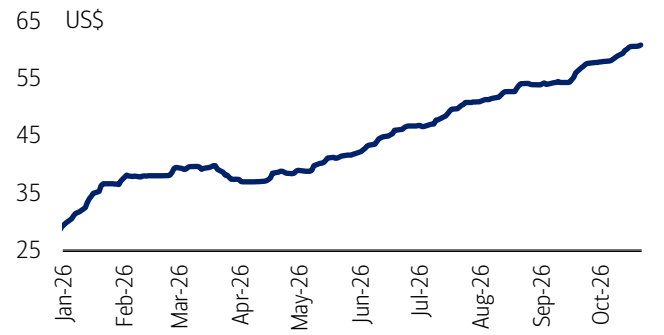
Source: Company, BofA Global Research estimates

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Memory price charts

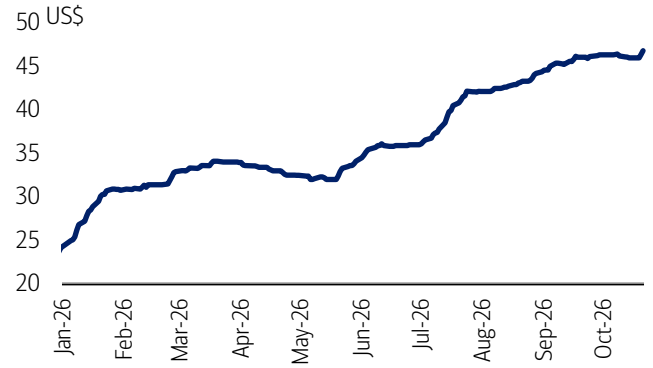
Exhibit 17: DDR5 spot further recovered in Oct to hit a record-high $61, with prices now up over 100% YTD and extending the strong upcycle that began in 4Q25
16Gb DDR5 spot price – daily, Jan '26 - Oct '26



Source: DRAMeXchange

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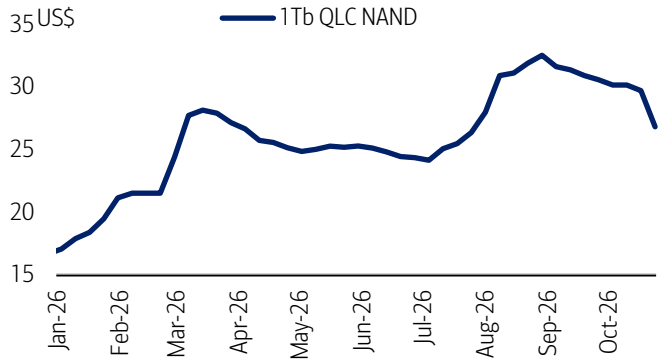
Exhibit 18: 8Gb DDR4 spot prices also recovered recently to hit all-time high of $47, with no signs of a downturn yet
8Gb DDR4 spot price trend, Jan '26 - Oct '26



Source: DRAMeXchange

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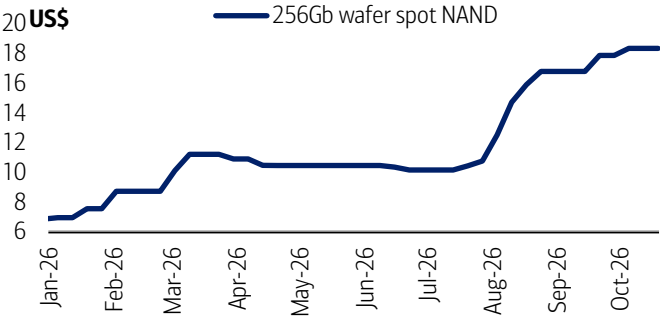
Exhibit 19: NAND spot prices remained weak through Sep and Oct, after recovering through July and Aug
1Tb NAND wafer spot price – weekly, Jan '26 - Oct '26



Source: DRAMeXchange

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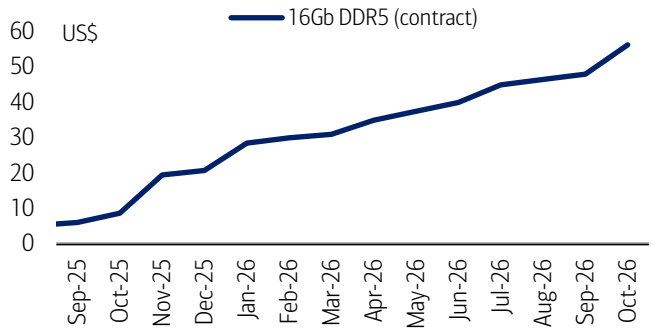
Exhibit 20: In contrast, low-density NAND wafer contract price rebounded sharply through Aug-Sep and early-Oct as well, but remained stable this week
256Gb NAND wafer spot price – weekly, Jan '26 - Oct '26



Source: DRAMeXchange

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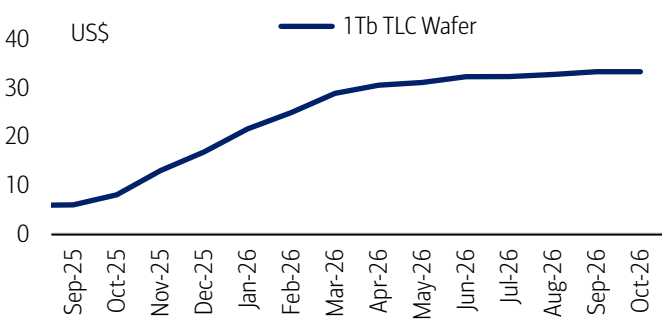
Exhibit 21: Oct contract price expected to rise 17%; no sign for price cut even after 500%+ rally YoY
16Gb DDR5 contract price trend, Sep '25- Sep '26



Oct-26 forecast is TrendForce estimate released on 16th Oct
Source: TrendForce

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Exhibit 22: Oct contract price broadly flat similar to 2Q26-3Q26 trend
1Tb NAND wafer contract price trend, Sep '25- Sep '26

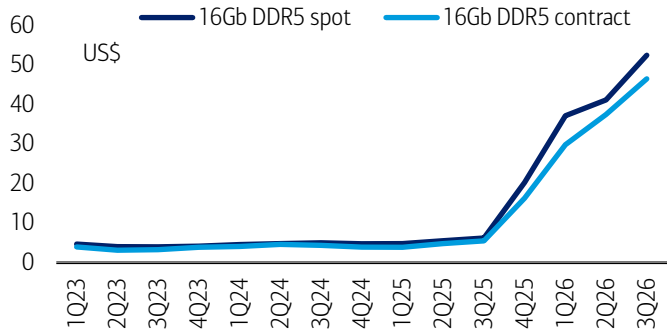


Oct-26 forecast is TrendForce estimate released on 16th Oct
Source: TrendForce

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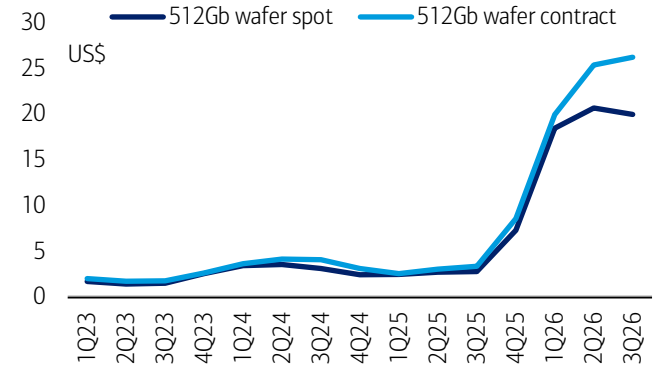
Exhibit 23: DRAM spot and contract prices reached record highs of ~$48–55, with gains moderating in 2Q–3Q26 after the sharp rally seen in 4Q25–1Q26.
DRAM spot and contract price - quarterly average trend



Source: DRAMeXchange, TrendForce

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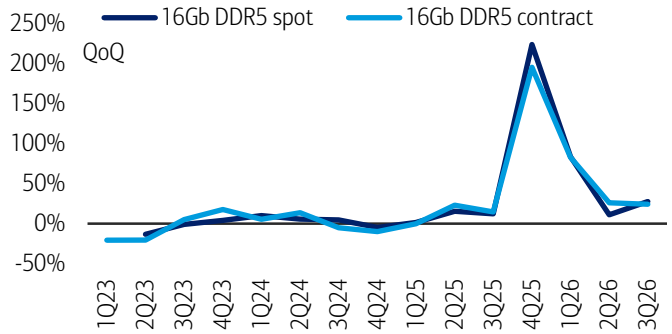
Exhibit 24: NAND wafer contract prices have surged significantly ahead of spot prices, with now at record-high levels; spot slightly corrected
NAND wafer spot and contract price - quarterly average trend



Source: DRAMeXchange, TrendForce

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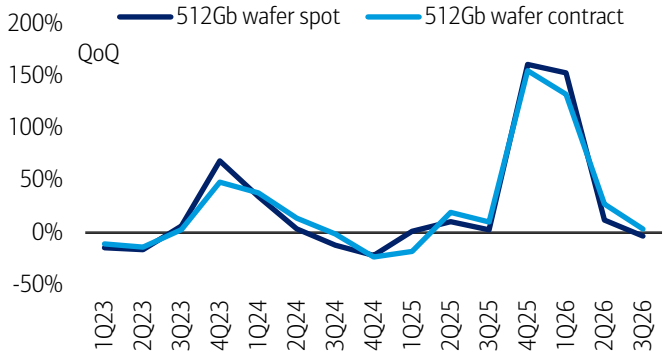
Exhibit 25: Momentum remained positive at +20-30% QoQ in 3Q26, improving from 2Q26 levels but well below the exceptional rally seen in 4Q25–1Q26.
PC DRAM spot / contract prices (quarter-avg) – QoQ change



Source: TrendForce, DRAMeXchange, BofA Global Research

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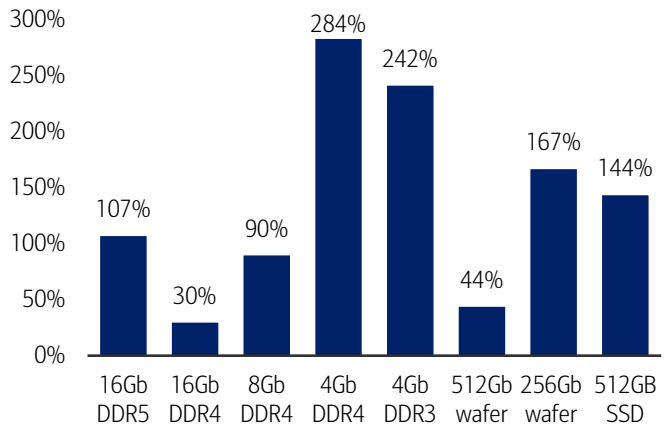
Exhibit 26: Prices were broadly flat in 3Q26, versus +15-30% QoQ growth in 2Q26, following the sharp ~150% rallies seen in both 4Q25 and 1Q26.
NAND spot / contract prices (quarter-avg) – QoQ change



Source: TrendForce, DRAMeXchange, BofA Global Research

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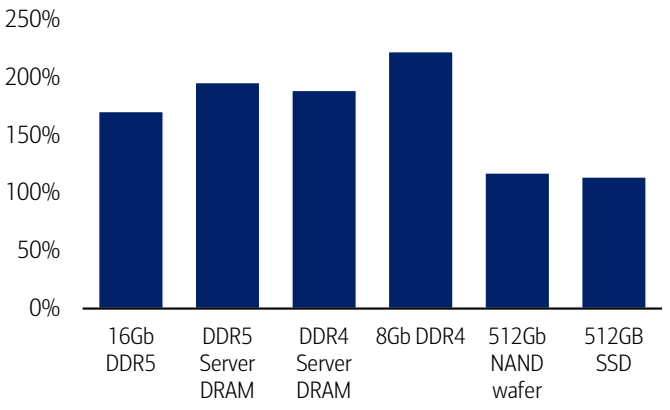
Exhibit 27: DRAM and NAND spot price overall up 100%+ YTD,
YTD change of DRAM and NAND spot price



Source: DRAMeXchange, TrendForce, BofA Global Research

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Exhibit 28: DRAM and NAND contract price overall up 100-200%YTD,
YTD change of DRAM and NAND contract price



Source: DRAMeXchange, TrendForce, BofA Global Research

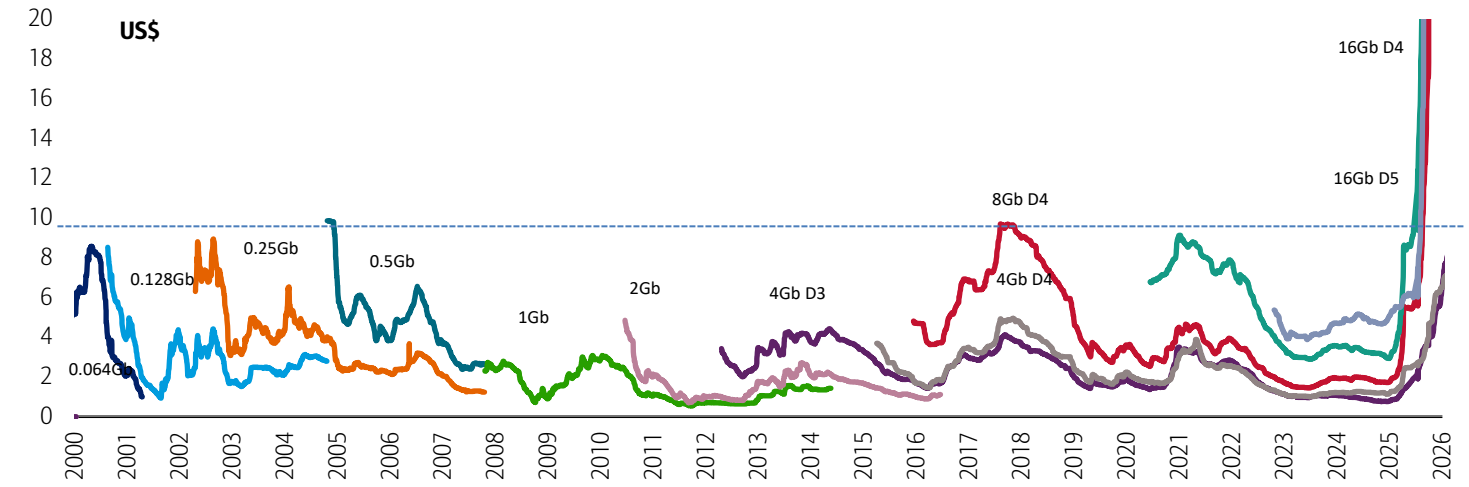
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Memory spot price long term trend

Exhibit 29: DRAM spot prices rebounded gradually through June-Oct, to hit all-time high levels. Prices have reached multi-decade highs, with 16Gb DDR5 (for PC) at ~$60 and DDR4 at ~$82, driven by supply reallocation toward HBM and server DRAM—well above the prior ~$10 peak in Oct-17

DRAM spot price – long-term trend (2000-2026)

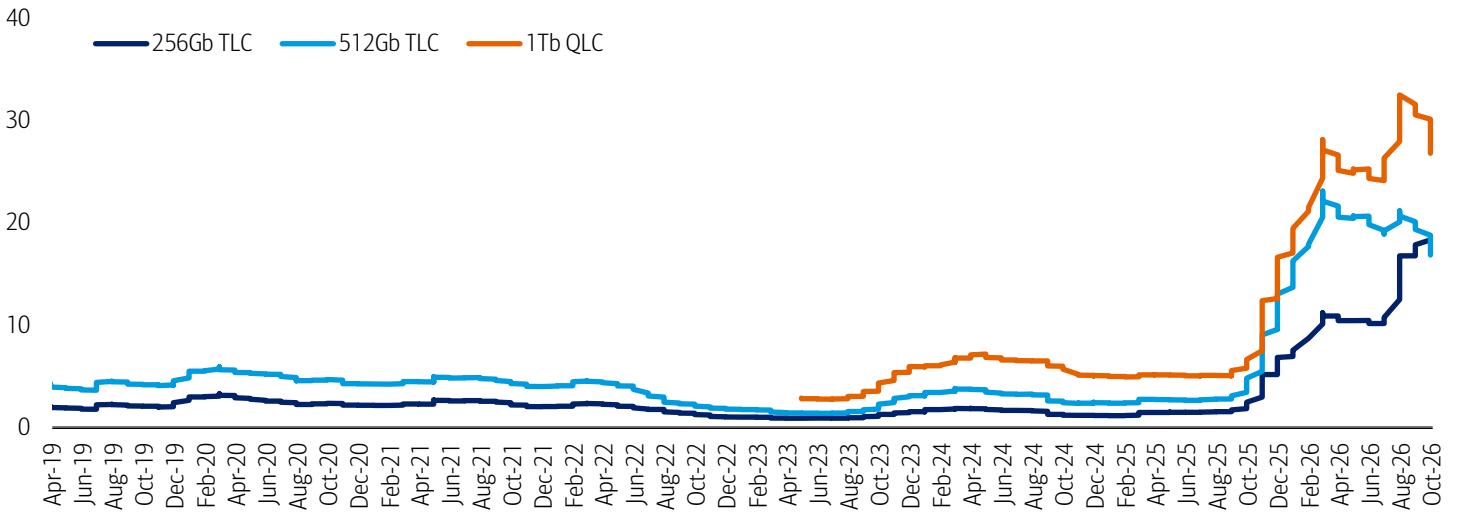


Source: DRAMeXchange

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Exhibit 30: NAND wafer prices sharply corrected in October, extending the largely flat-to-lower trend seen since 2Q26 after the strong 4Q25–1Q26 rally. Meanwhile, 256Gb prices recovered in September and early October before stabilizing this week.

NAND wafer spot price – long-term trend (2019-2026)



Source: DRAMeXchange

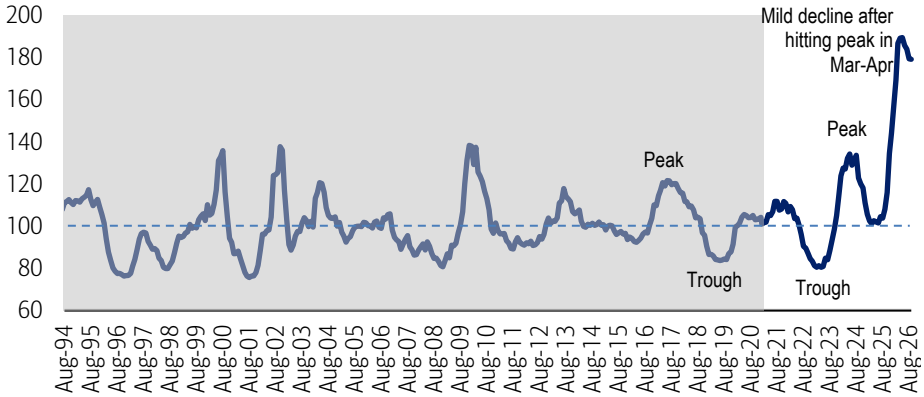
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BofA Memory Indicator

Exhibit 31: The BofA Memory Indicator still presents super-cycle – much higher than 2017-18 peak level; of course, it slightly declined to 179 in Aug-26 (due to lower YoY growth) after hitting peak of 190 in Mar/Apr-26, driven by exceptionally strong DRAM/NAND spot pricing, rising ASPs and billings, along with Korea's ~200%+ export growth.

BofA Memory Indicator – back to upturn level since Oct-2025 and hit highest peak in Mar/Apr-26 (back-tested)



Note: Our indicator had previously been capped at ~140, but the recent unprecedented surge—driven by memory spot prices, ASPs, and billings—has led us to raise the ceiling (up to 240 levels) to reflect a more accurate relative comparison. This exceptional strength is further validated by strong earnings from memory chipmakers.

Source: DRAMeXchange, WSTS, MoTIR Korea, BofA Global Research

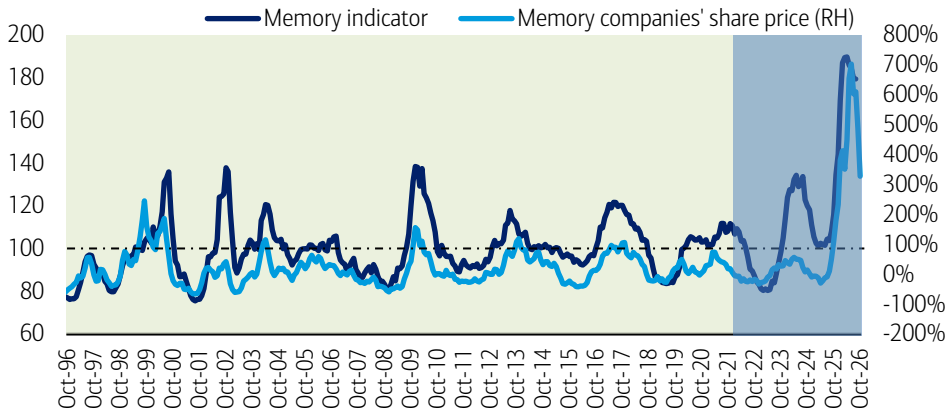
*The shaded area represents back-tested results from January 1991 to March 2021. The unshaded area represents actual performance since April 2021. This performance is back-tested up to March-2021, and does not represent the actual performance of any account or fund. Back-tested performance depicts the theoretical (not actual) performance of a particular strategy over the time period indicated. No representation is being made that any actual portfolio is likely to have achieved returns similar to those shown herein.

Disclaimer: The BofA Memory Indicator is intended to be an indicative metric only and may not be used for reference purposes or as a measure of performance for any financial instrument or contract, or otherwise relied upon by third parties for any other purpose, without the prior written consent of BofA Global Research. This indicator was not created to act as a benchmark. For methodology, see the 5 Aug 2024 Global Memory Tech report.

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Exhibit 32: Sharp correction in memory companies' stock prices in Jul-Aug due to memory peak-out concerns, global uncertainty and AI concerns, but steady recovery seen in Sep-early Oct

BofA Memory Indicator is highly correlated with stock performance (back-tested)



Note: Memory companies share price is average of Samsung, Hynix, Micron, and Nanya share price YoY changes

Source: Bloomberg, BofA Global Research

The light green shaded area represents back-tested results from January 1991 to March 2021. The blue shaded area represents actual data since April 2021. This performance is back-tested and does not represent the actual performance of any account or fund. Back-tested performance depicts the theoretical (not actual) performance of a particular strategy over the time period indicated. No representation is being made that any actual portfolio is likely to have achieved returns similar to those shown herein. For methodology, see the 5 Aug 2024 Global Memory Tech report.

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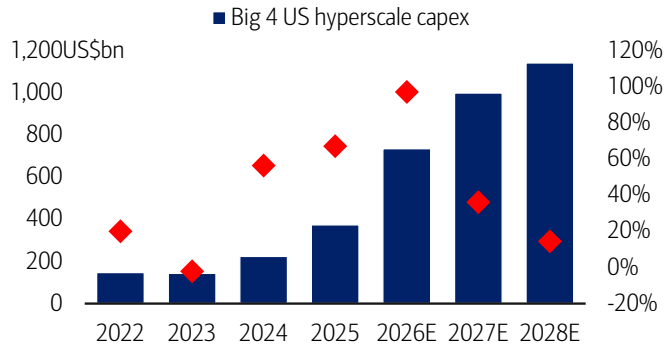
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The analysis of BofA Memory Indicator in this report is back-tested and does not represent the actual performance of any account or fund. Back-tested performance depicts the hypothetical back-tested performance of a particular strategy over the time period indicated. In future periods, market and economic conditions will differ and the same strategy will not necessarily produce the same results. No representation is being made that any actual portfolio is likely to have achieved returns similar to those shown herein. In fact, there are frequently sharp differences between back-tested returns and the actual results realized in the actual management of a portfolio. Back-tested performance results are created by applying an investment strategy or methodology to historical data and attempts to give an indication as to how a strategy might have performed during a certain period in the past if the product had been in existence during such time. Back-tested results have inherent limitations including the fact that they are calculated with the full benefit of hindsight, which allows the security selection methodology to be adjusted to maximize the returns. Further, the results shown do not reflect actual trading or the impact that material economic and market factors might have had on a portfolio manager's decision-making under actual circumstances. Back-tested returns do not reflect advisory fees, trading costs, or other fees or expenses.

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Hyperscale capex and cloud revenue margins

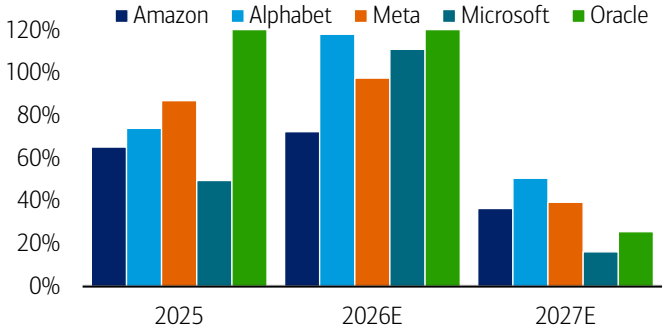
Exhibit 33: Amazon, Microsoft, Alphabet, Meta, and Oracle capex collectively to grow ~100% YoY in 2026 to $730bn even after strong +65% YoY growth in 2025; 2027/28 capex to hit $1tn+ pa
Combined capex of top 4 US tech companies



Source: Company reports, BofA Global Research estimates

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Exhibit 34: Record-high capex spend by all big-4 hyperscalers expected to continue in 2026-27E; robust growth since 2024
Hyperscalers' capex growth – YoY change

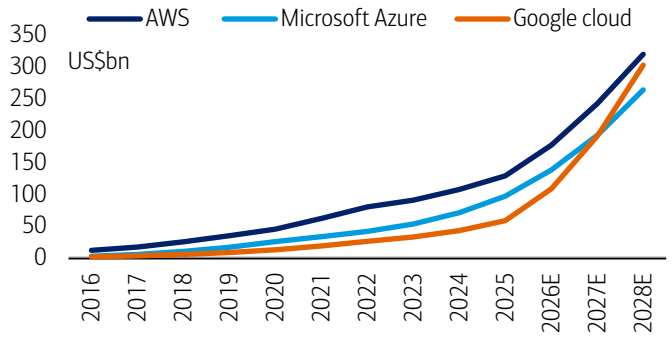


Note: Microsoft and Oracle data adjusted for CY basis **Oracle's 2025 capex up 230% YoY MSFT capex for 2026-27 is based on consensus

Source: Companies, BofA Global Research estimates

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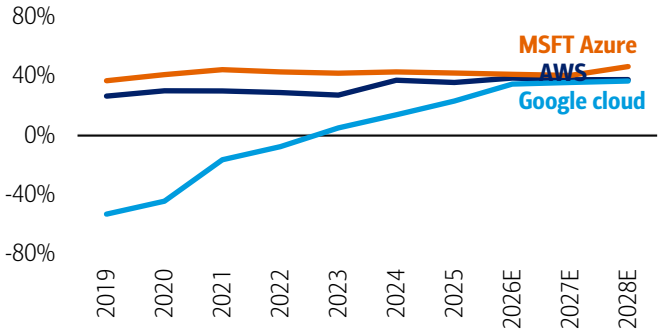
Exhibit 35: Cloud revenue growth still solid at 35-45% YoY in 2026-28
Cloud revenue of hyperscalers consistently strong



Source: Company reports, BofA Global Research estimates

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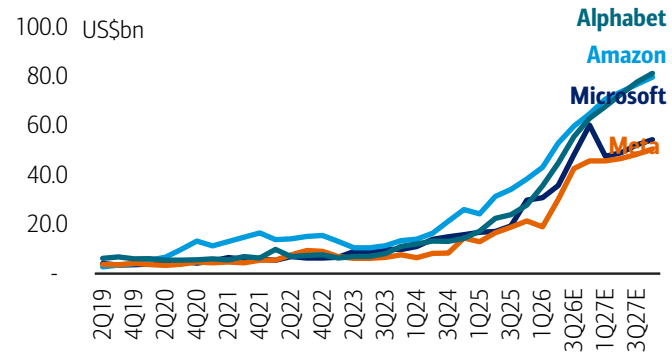
Exhibit 36: High OPM seen among AWS (35%+) and Azure (40%+); Google's margin also set to reach 35%+ in 2026-28
Cloud OPM trend also high



Source: Company reports, BofA Global Research estimates

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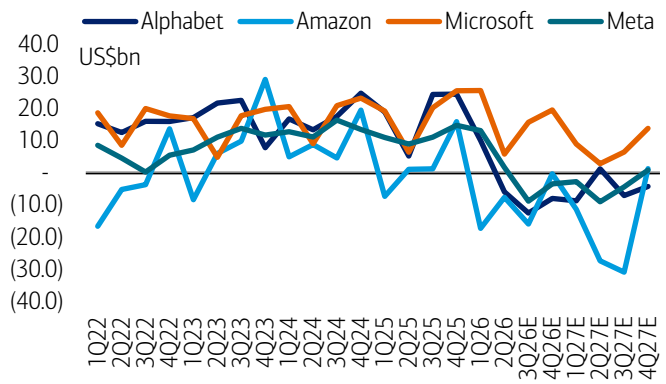
Exhibit 37: US hyperscaler capex accelerated sharply in CY2Q26, as Alphabet, MSFT, Amazon & Meta continued ramping AI infrastructure spending, driving another quarter of record investment levels.
Quarterly capex trend of top 4 US hyperscaler companies



Source: Company reports, BofA Global Research estimates

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Exhibit 38: Several hyperscalers are expected to experience negative FCF temporarily in 2026-27 as record AI infrastructure spending significantly outpaces near-term cash flow growth
Quarterly FCF trend of top 4 US hyperscaler companies



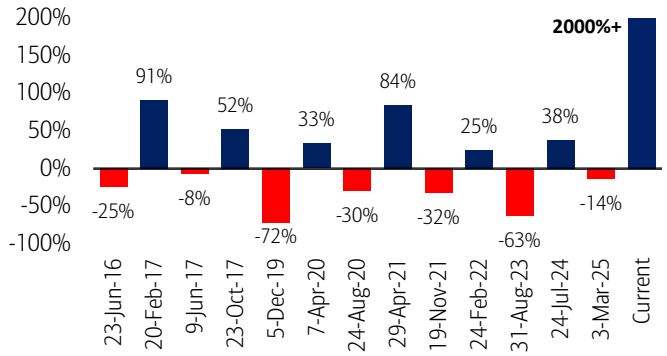
Source: Company reports, BofA Global Research estimates

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Peak/trough analysis of DRAM spot, ASP & Samsung OPM

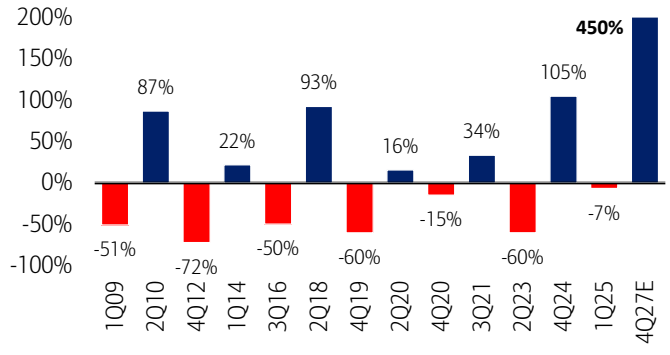
Exhibit 39: It was highly volatile given +50% for peak cycles vs -35% for downturn period, but current levels up 2000%+
8Gb DDR4 spot price – peak vs trough trend



Source: DRAMeXchange, BofA Global Research

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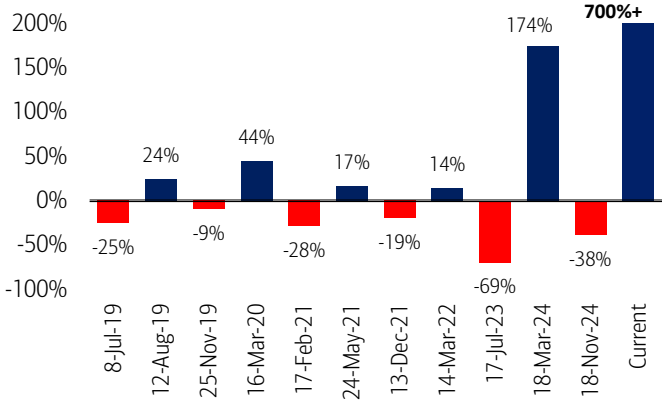
Exhibit 40: Prices are projected to rise continuously from the 1Q25 bottom and reach peak levels in 4Q27 (after rising nearly ~+450%)
DRAM blended ASP – peak vs trough trend



Source: Companies, BofA Global Research estimates

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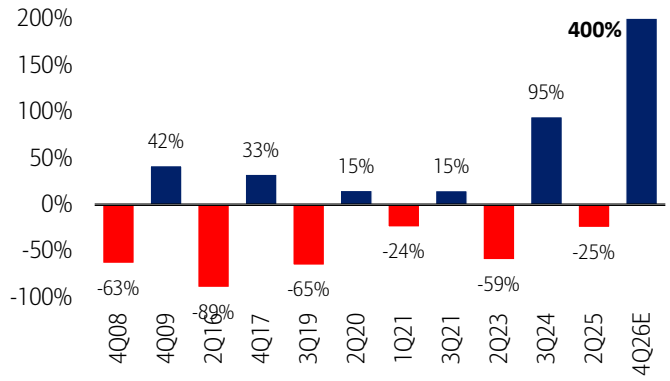
Exhibit 41: Prices well recovered through 2025-1H26
512Gb NAND wafer spot price – peak vs trough trend



Source: DRAMeXchange, BofA Global Research

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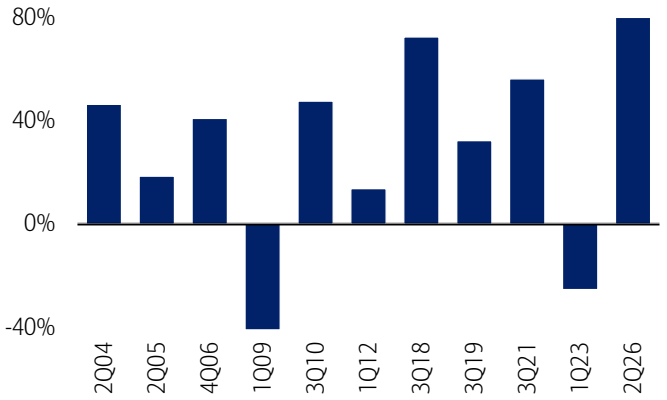
Exhibit 42: Similar to DRAM, prices are projected to rise continuously from the 2Q25 bottom and reach peak levels in 4Q26
NAND blended ASP – peak vs trough trend



Source: Companies, BofA Global Research estimates

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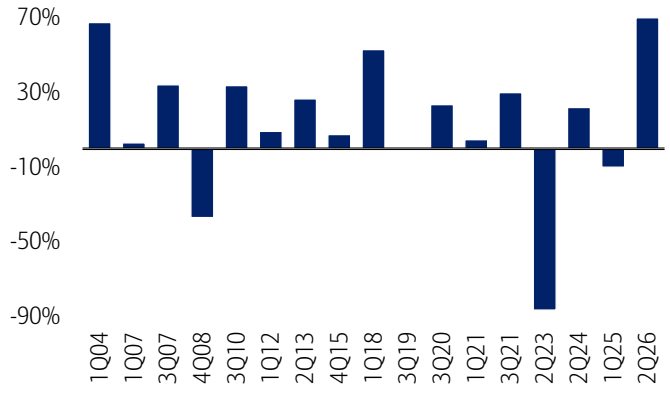
Exhibit 43: Profitability has rebounded sharply from the 1Q23 bottom peaking in 2Q26 and remaining near peak levels through 4Q26
Samsung DRAM OPM – peak vs trough trend



Source: Companies, BofA Global Research estimates

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Exhibit 44: Profitability has rebounded sharply from the 1Q25 bottom, peaking in 2Q26 and remaining near peak levels through 4Q26
Samsung NAND OPM – peak vs trough trend

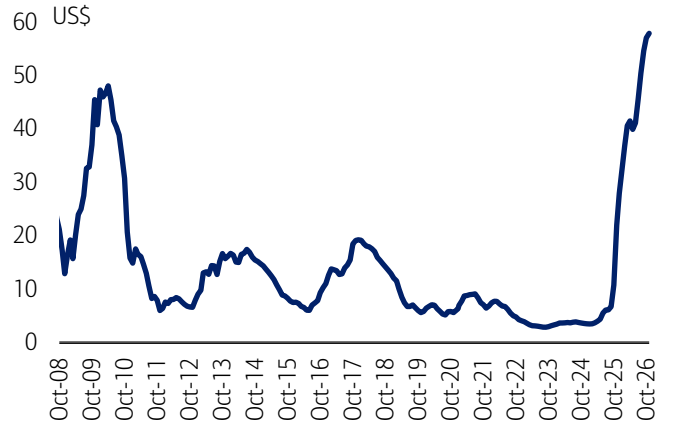


Source: Companies, BofA Global Research estimates

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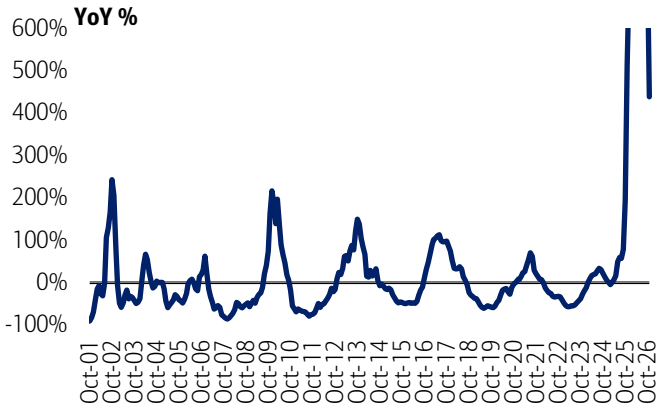
Exhibit 45: Current price at its highest level since 2008
DRAM spot price trend – 16Gb equivalent



Source: DRAMeXchange, BofA Global Research

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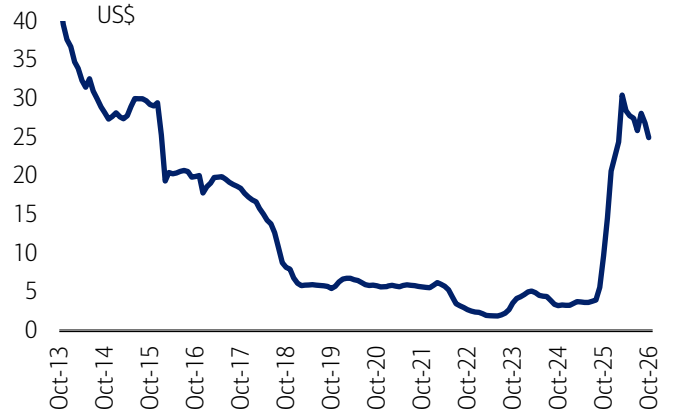
Exhibit 46: Hit peak level of 1000% YoY before correcting to 500% YoY
DRAM spot price trend – 16Gb equivalent; YoY change



Source: DRAMeXchange, BofA Global Research

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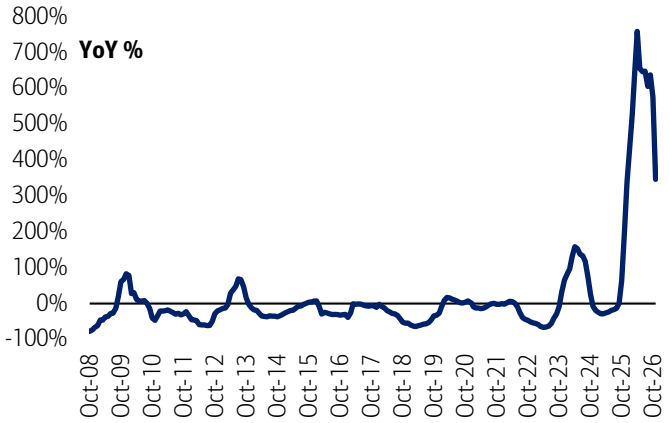
Exhibit 47: Highest price level observed for the past 10 years
NAND spot price trend – 512Gb equivalent



Source: DRAMeXchange, BofA Global Research

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Exhibit 48: Hit peak level of 750% YoY before correcting to 400% YoY
NAND spot price trend – 512Gb equivalent; YoY change



Source: DRAMeXchange, BofA Global Research

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Valuation

Exhibit 49: Our PO of W450,000 is derived from 7x 2027-28E P/E
SEC – Valuation multiples at current price and PO

(x)	2024	2025	2026E	2027E	2028E	2027-28E avg
Current share price						
P/E	**46.4**	**35.0**	**5.2**	**3.8**	**3.8**	**3.8**
P/Book	4.0	3.6	2.2	1.6	1.2	1.4
EV/Sales	4.3	3.9	1.8	1.4	1.3	1.4
EV/EBITDA	17.2	14.3	3.0	2.2	2.2	2.2
FCF/EV	2%	3%	17%	27%	26%	26.6%
Dividend yield	0.6%	0.7%	4.3%	6.5%	6.7%	6.6%
PO based						
P/E	**90.8**	**68.6**	**10.2**	**7.5**	**7.5**	**7.5**
P/Book	7.8	7.0	4.4	3.0	2.3	2.7
EV/Sales	9.9	9.0	4.1	3.2	3.1	3.2
EV/EBITDA	39.7	33.0	6.8	5.1	5.1	5.1

Source: Company, BofA Global Research estimates

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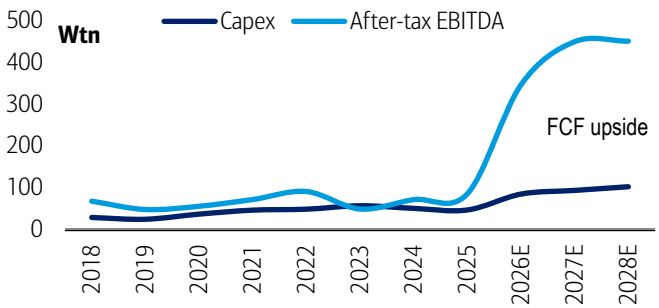
Exhibit 50: SEC – Time to see re-rating at above-7x P/E vs historical average of 13.5x; record-high 2026-28E OP (W300tn+ pa) on the back of memory super-cycle should be the catalyst
Historical valuation trend

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	6-yr avg 2020-25	11-yr avg 2015-25
Based on year-avg shr price													
P/E	**11.8**	**10.8**	**8.7**	**7.2**	**14.7**	**14.9**	**13.7**	**7.9**	**31.7**	**14.4**	**12.8**	**15.9**	**13.5**
P/B	**1.3**	**1.2**	**1.6**	**1.3**	**1.2**	**1.5**	**1.8**	**1.3**	**1.3**	**1.2**	**1.1**	**1.4**	**1.4**
EV/Sales	0.8	0.8	1.1	0.9	0.9	1.2	1.5	1.1	1.4	1.3	1.1	1.3	1.1
EV/EBITDA	3.3	3.1	3.5	2.6	3.8	4.1	4.9	3.9	8.1	5.0	4.3	5.0	4.2
Based on year-high shr price													
P/E	**13.7**	**13.6**	**10.7**	**8.2**	**17.9**	**21.1**	**15.8**	**9.8**	**36.8**	**17.7**	**21.6**	**20.5**	**17.0**
P/B	**1.5**	**1.6**	**2.0**	**1.5**	**1.5**	**2.1**	**2.1**	**1.6**	**1.5**	**1.5**	**1.9**	**1.8**	**1.7**
EV/Sales	0.9	1.0	1.4	1.1	1.2	1.8	1.8	1.4	1.7	1.6	2.0	1.7	1.5
EV/EBITDA	4.0	4.2	4.5	3.1	4.9	6.6	5.8	5.1	9.6	6.3	7.7	6.8	5.6
Based on year-low shr price													
P/E	**9.7**	**8.4**	**6.6**	**5.9**	**11.8**	**11.1**	**11.9**	**6.5**	**26.0**	**10.1**	**9.2**	**12.5**	**10.7**
P/B	**1.1**	**1.0**	**1.2**	**1.1**	**1.0**	**1.1**	**1.6**	**1.0**	**1.1**	**0.9**	**0.8**	**1.1**	**1.1**
EV/Sales	0.6	0.5	0.8	0.7	0.7	0.7	1.3	0.8	1.1	0.8	0.7	0.9	0.8
EV/EBITDA	2.5	2.1	2.5	1.9	2.7	2.6	4.1	3.0	6.4	3.2	2.8	3.7	3.1

Source: Company, Bloomberg, BofA Global Research

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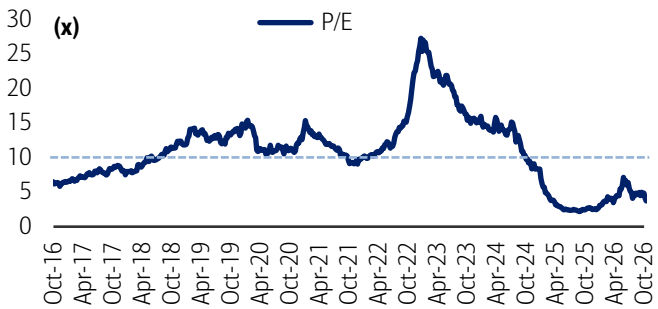
Exhibit 51: FCF back to upcycle level in 2026-28E due to memory+HBM upcycle and disciplined capex
SEC – EBITDA vs. capex trend



Source: Company, BofA Global Research estimates

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Exhibit 52: Currently trading at only 4x vs our target of 7x 2027-28E
SEC – 12-month forward P/E



Source: Company, BofA Global Research estimates

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Exhibit 53: Big-3 memory chipmakers broadly trading at only 4-5x P/E after sharp correction during the last few weeks vs. 10-15x+ by global tech names such as TSMC or NVIDIA despite high ROE (30-40%+ level)
Valuation comparison with major semis and tech companies

	Ticker	Rating	Price (Local)	Mcap ($bn)	P/E			P/Book			EV/EBITDA			EV/Sales		ROE		Div yield	
					FY26	FY27E	FY28E	FY26	FY27E	FY28E	FY26	FY27E	FY28E	FY27E	FY28E	FY27E	FY28E	FY27E	FY28E
Samsung	**SSNLF**	**C-1-7**	**242,000**	**1,014.0**	**5.5**	**4.0**	**4.0**	**2.5**	**1.7**	**1.3**	**3.3**	**2.5**	**2.5**	**1.6**	**1.5**	**49%**	**36%**	**6.2%**	**6.3%**
Samsung (PFD)	**SSNNF**	**C-1-7**	**190,100**	**110.3**	**4.3**	**3.2**	**3.2**	**2.5**	**1.7**	**1.3**	**3.3**	**2.5**	**2.5**	**1.6**	**1.5**	**49%**	**36%**	**7.9%**	**8.1%**
SK Hynix	HXSCF	C-1-7	1,487,000	833.4	4.2	3.4	3.4	3.0	1.8	1.3	3.2	2.2	2.2	1.8	1.7	64%	43%	5.7%	6.7%
Micron	MU	C-1-7	983.23	1,112.4	13.0	5.7	5.0	8.0	4.0	2.7	9.9	4.4	3.9	3.7	3.2	96%	69%	0.1%	0.1%
Nanya	NNYAF	B-1-7	477.00	50.8	6.4	4.6	5.7	3.3	2.1	1.8	4.1	2.7	3.3	2.1	2.2	56%	34%	8.7%	8.8%
TSMC	TSMWF	B-1-7	2,415.00	1,931.5	21.6	15.2	12.0	8.1	5.6	4.0	14.4	10.1	8.2	7.6	6.2	43%	39%	1.0%	1.0%
Intel	INTC	C-1-9	95.53	504.9	65.0	47.5	32.7	3.9	3.6	3.2	21.5	16.6	13.1	6.6	5.7	8%	11%	0.0%	0.0%
Qualcomm	QCOM	C-3-7	182.97	195.4	17.4	17.3	14.8	6.6	6.3	5.3	14.1	13.9	12.1	4.6	4.0	37%	NM	2.0%	2.0%
Nvidia	NVDA	C-1-7	215.38	5,190.7	23.7	13.7	9.3	18.0	10.2	6.4	19.9	11.7	8.3	7.8	5.6	91%	78%	0.5%	0.6%
Apple	AAPL	B-1-7	343.83	5,017.9	38.9	36.3	31.5	43.4	31.0	22.1	27.0	26.4	23.1	9.5	9.0	99%	80%	0.3%	0.3%
Sony	SNEJF	B-1-7	3,936	148.4	17.7	17.0	16.2	2.6	2.3	2.1	8.3	7.7	7.1	1.8	1.5	14%	14%	0.8%	0.8%
Xiaomi	XIACF	B-1-9	26	84.4	24.3	22.1	17.6	2.0	1.8	1.6	15.8	14.8	12.2	1.2	1.0	10%	12%	0.0%	0.0%
LG Electronics	LGEAF	C-1-7	161,700	18.9	14.6	12.6	11.6	1.1	1.0	0.9	5.1	4.9	4.5	0.4	0.4	9%	9%	1.9%	2.4%

Source: Companies, BofA Global Research estimates. Mcap = market capitalization. Div = dividend.

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Exhibit 54: Mostly memory-centric (DRAM, NAND), followed by smartphone and display (OLED); net cash 30% discounted to be conservative
SEC – Cross-checked sum-of-the-parts (SOTP) valuation

	EV/shr (Won)	% to EV	EV total (Wtn)	US$bn	2027-28E EV/sales	2027-28E EV/EBIT	2027-28E EV/NP	Peer	Mkt cap (US$bn)
EV by business unit									
Semis								SK Hynix	833
DRAM	286,611	67%	1,930.5	1,430.0	3.5	11.8	15.3	Micron	1,112
NAND	110,235	26%	742.5	550.0	3.9	13.8	18.0	WDC	148
Logic/foundry	5,412	1%	36.5	27.0	1.2	-2.6	-3.4	Kioxia	151
Others	200	0%	1.4	1.0	na	na	na	TSMC	1,931
Semis total	**402,458**	**95%**	**2,710.8**	**2,008.0**	**3.5**	**13.3**	**17.3**	Qualcomm	195
Display								Intel	505
OLED	3,407	1%	23.0	17.0	0.7	6.3	8.2	Nvidia	5,191
LCD	0	0%	0.0	0.0	0.0	n/a	n/a	LG Display	3
Display Total	**3,407**	**1%**	**23.0**	**17.0**	**0.7**	**6.3**	**8.2**	BOE	26
IM									
Smartphone	14,030	3%	94.5	70.0	1.1	14.7	19.2	Apple	5,018
Equipment & others	1,002	0%	6.8	5.0	0.2	-30.9	-40.2	Nokia	53
IM total	**15,032**	**4%**	**101.3**	**75.0**	**0.9**	**16.3**	**21.3**		
CE								LGE	19
TV	1,002	0%	6.8	5.0	0.2	16.6	21.6	Whirlpool	2
Appliances	601	0%	4.1	3.0	0.2	-5.2	-6.7	Panasonic	57
CE total	**1,603**	**0%**	**10.8**	**8.0**	**0.2**	**-28.4**	**-37.0**	Sony	148
Harman & auto parts	**2,205**	**1%**	**14.9**	**11.0**	**0.8**	**9.8**	**12.8**		
Others (Robotics, etc)	**301**	**0%**	**2.0**	**1.5**	**nm**	**nm**	**nm**		
Business value total	**425,006**	**100%**	**2,862.7**	**2,120.5**	**3.0**	**13.3**	**17.3**		
Shareholder value total									
Business value	430,565		2,862.7	2,120.5					
Equity investments	4,715		31.3	23.2					
Net cash	29,725		197.6	146.4					
Discounted cash (-50%)	-14,863		-98.8	-73.2					
Shareholder value total	**450,142**		**2,992.8**	**2,216.9**					
Difference vs PO	0%		0%						
Our PO	**450,000**		2,991.9	2,216.2					
Upside (PO-to-current price)	94.0%								
FX (W/US$ for LT)	1,350								
Outstanding shares	6,736								

Source: Company, BofA Global Research estimates

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Exhibit 55: Memory accounts for near-90% of total enterprise value vs. foundry only low-single%, OLED low-single %, smartphone mid-single%, discounted cash mid-single%, etc.
SEC – Cross-checked sum-of-the-parts (SOTP) valuation summary

US$bn	Fair value	% to total FV	Remarks
DRAM	1,430.0	65%	HBM4, super-cycle
NAND	550.0	25%	ASP strength
Logic/foundry	27.0	1%	Low growth/margin/capex
OLED	17.0	1%	Resilient at mid to upcycle
Smartphone	70.0	3%	Better positioned vs China OEMs
Network	5.0	0%	5G saturation, low 6G impact
TV	5.0	0%	Low margin
Appliances	3.0	0%	Just breakeven or loss
Harman	11.0	0%	Better than TV/appliances
Others	2.5	0%	Robotics likely a l-t catalyst
Biz value total	2,120.5	96%	Biz value over US$2.0tn
Net cash	146.4	7%	Mostly held by SDC and overseas subs
Equity investments	23.2	1%	Bio, SDI, SEMCO, SDS
Discounted cash (-30%)	-73.2	-3%	30% discounted to be conservative
FV total (US$bn)	2,216.9	100%	FV still low vs global tech peers
Per shr FV (Won)	**450,142**		**SOTP fair value ~W450k**
PO (Won)	**450,000**		7x 2027-28E P/E

Source: Company, BofA Global Research estimates

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Exhibit 56: Long-term FCF (W200tn+ per annum) discounted at 9.5% WACC
SEC – Cross-checked discounted cash flow (DCF) valuation

Wtn, Won	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Sales	301	334	723	921	975	994	1,024	1,035
Sales growth	16%	11%	117%	27%	6%	2%	3%	1%
OP	33	44	386	529	528	497	410	394
OPM	11%	13%	53%	57%	54%	50%	40%	38%
Dep &Amor	43	47	52	55	57	60	60	60
EBITDA	75	91	438	584	585	557	470	454
Capex	51	48	86	94	103	113	123	133
Increase in NWC	0	-2	44	7	8	1	1	1
Net working capital	36	34	78	84	92	93	94	95
Taxes	3	4	91	134	134	124	102	99
Free cash flow	**21**	**41**	**218**	**349**	**340**	**319**	**243**	**222**
FCF yield	1%	3%	15%	23%	23%	21%	16%	15%
Discount factor at 9.5% WACC		1.00	0.91	0.83	0.76	0.70	0.64	0.58
Present value of FCF			199	291	259	222	154	128
Sum of PV FCF (a)		**1,254**						
Terminal value								
PV of TV - average (b)		**1,683**						
EV/EBITDA based (6x)		1,620						2,793
Perpetual growth 2.0% based		1,746						3,011
Biz value total (A = a+b)		**2,937**						
Net cash (2025-end)		101						
Equity investments		31						
Discounted cash (-50%)		35						
Shareholder value (biz + cash)		**3034**						
DCF FV per share (Won)		**450,380**						
DCF FV vs PO		0%						
BofA PO		**450,000**						
Current share price		232,000						

Source: Company, BofA Global Research estimates

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Exhibit 57: 2026-28E growth mostly based on semis turnaround (mostly driven by DDR5/HBM demand increase and NAND supply cut); non-semis upside potential unlikely strong due to US tariff-related risks

SEC – Sales breakdown by business

Wtn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales breakdown																
Semis	**81.7**	**127.5**	**147.1**	**181.6**	**176.7**	**181.8**	**195.7**	**202.5**	**94.8**	**98.5**	**66.6**	**111.1**	**130.1**	**537.9**	**756.8**	**812.6**
Memory	**74.8**	**120.8**	**140.7**	**175.1**	**170.3**	**175.1**	**188.2**	**194.7**	**72.6**	**68.5**	**44.1**	**84.5**	**104.1**	**511.4**	**728.3**	**778.6**
DRAM	*53.9*	*89.0*	*104.9*	*124.4*	*122.8*	*128.4*	*140.1*	*144.3*	*43.7*	*41.1*	*26.1*	*50.0*	*71.0*	*372.2*	*535.5*	*580.2*
NAND	*21.1*	*37.2*	*45.1*	*50.0*	*46.9*	*46.1*	*47.4*	*49.7*	*26.5*	*25.8*	*16.8*	*33.2*	*33.5*	*153.4*	*190.0*	*195.3*
Non-memory	6.9	6.7	6.4	6.6	6.4	6.7	7.5	7.9	22.2	29.9	22.5	26.6	26.0	26.6	28.5	34.0
Display	**6.7**	**7.5**	**8.0**	**9.1**	**7.0**	**7.4**	**8.6**	**9.3**	**31.7**	**34.4**	**31.0**	**29.1**	**29.9**	**31.3**	**32.3**	**34.1**
Mobile	**38.1**	**33.2**	**37.7**	**28.3**	**32.4**	**24.9**	**34.0**	**25.4**	**109.3**	**120.8**	**112.4**	**117.2**	**129.6**	**137.3**	**116.7**	**110.6**
Mobile	*37.5*	*32.3*	*37.3*	*27.6*	*31.8*	*24.1*	*33.5*	*24.6*	*104.7*	*115.4*	*108.6*	*114.4*	*126.5*	*134.7*	*114.0*	*107.6*
Network	*0.6*	*0.9*	*0.4*	*0.7*	*0.6*	*0.8*	*0.5*	*0.8*	*4.6*	*5.4*	*3.8*	*2.8*	*3.1*	*2.6*	*2.7*	*3.0*
CE	**14.3**	**14.5**	**13.9**	**14.3**	**14.2**	**14.2**	**14.2**	**14.7**	**55.8**	**60.6**	**56.4**	**56.4**	**57.3**	**57.0**	**57.4**	**56.2**
TV	*7.7*	*7.7*	*7.2*	*8.3*	*7.3*	*7.1*	*7.4*	*8.7*	*31.5*	*33.3*	*30.4*	*31.0*	*30.9*	*30.9*	*30.5*	*31.1*
Appliances	*6.6*	*6.8*	*6.7*	*6.0*	*6.9*	*7.1*	*6.8*	*6.0*	*24.3*	*27.4*	*26.1*	*25.5*	*26.4*	*26.1*	*26.9*	*25.1*
Harman	**3.8**	**4.6**	**4.3**	**4.6**	**4.2**	**4.5**	**4.7**	**5.1**	**10.0**	**13.2**	**14.4**	**14.3**	**15.8**	**17.3**	**18.5**	**19.9**
Total sales	**133.9**	**171.5**	**195.3**	**222.4**	**219.1**	**217.5**	**242.1**	**242.1**	**279.6**	**302.2**	**258.9**	**300.9**	**333.6**	**723.0**	**920.8**	**975.0**
Sales mix																
Semis	**61%**	**74%**	**75%**	**82%**	**81%**	**84%**	**81%**	**84%**	**34%**	**33%**	**26%**	**37%**	**39%**	**74%**	**82%**	**83%**
Memory	**56%**	**70%**	**72%**	**79%**	**78%**	**81%**	**78%**	**80%**	**26%**	**23%**	**17%**	**28%**	**31%**	**71%**	**79%**	**80%**
DRAM	*40%*	*52%*	*54%*	*56%*	*56%*	*59%*	*58%*	*60%*	*16%*	*14%*	*10%*	*17%*	*21%*	*51%*	*58%*	*60%*
NAND	*16%*	*22%*	*23%*	*22%*	*21%*	*21%*	*20%*	*21%*	*9%*	*9%*	*7%*	*11%*	*10%*	*21%*	*21%*	*20%*
Non-memory	5%	4%	3%	3%	3%	3%	3%	3%	8%	10%	9%	9%	8%	4%	3%	3%
Display	**5%**	**4%**	**4%**	**4%**	**3%**	**3%**	**4%**	**4%**	**11%**	**11%**	**12%**	**10%**	**9%**	**4%**	**4%**	**3%**
Mobile	**28%**	**19%**	**19%**	**13%**	**15%**	**11%**	**14%**	**11%**	**39%**	**40%**	**43%**	**39%**	**39%**	**19%**	**13%**	**11%**
Mobile	*28%*	*19%*	*19%*	*12%*	*15%*	*11%*	*14%*	*10%*	*37%*	*38%*	*42%*	*38%*	*38%*	*19%*	*12%*	*11%*
Network	*0%*	*1%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*2%*	*2%*	*1%*	*1%*	*1%*	*0%*	*0%*	*0%*
CE	**11%**	**8%**	**7%**	**6%**	**6%**	**7%**	**6%**	**6%**	**20%**	**20%**	**22%**	**19%**	**17%**	**8%**	**6%**	**6%**
TV	*6%*	*4%*	*4%*	*4%*	*3%*	*3%*	*3%*	*4%*	*11%*	*11%*	*12%*	*10%*	*9%*	*4%*	*3%*	*3%*
Appliances	*5%*	*4%*	*3%*	*3%*	*3%*	*3%*	*3%*	*2%*	*9%*	*9%*	*10%*	*8%*	*8%*	*4%*	*3%*	*3%*
Harman	**3%**	**3%**	**2%**	**2%**	**2%**	**2%**	**2%**	**2%**	**4%**	**4%**	**6%**	**5%**	**5%**	**2%**	**2%**	**2%**
Total sales	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
QoQ sales growth																
Semis	**86%**	**56%**	**15%**	**23%**	**-3%**	**3%**	**8%**	**3%**								
Memory	102%	61%	16%	24%	-3%	3%	7%	3%								
DRAM																
NAND																
Non-memory	0%	-3%	-4%	3%	-2%	4%	12%	5%								
Display	**-29%**	**12%**	**7%**	**13%**	**-23%**	**6%**	**16%**	**8%**								
Mobile	**30%**	**-13%**	**14%**	**-25%**	**14%**	**-23%**	**37%**	**-25%**								
Mobile	*33%*	*-14%*	*15%*	*-26%*	*15%*	*-24%*	*39%*	*-26%*								
Network	*-40%*	*50%*	*-56%*	*75%*	*-14%*	*33%*	*-38%*	*60%*								
CE	**-3%**	**1%**	**-4%**	**3%**	**-1%**	**0%**	**0%**	**4%**								
TV	*-13%*	*0%*	*-6%*	*15%*	*-12%*	*-3%*	*5%*	*17%*								
Appliances	*10%*	*3%*	*-1%*	*-10%*	*15%*	*3%*	*-5%*	*-11%*								
Harman	**-17%**	**21%**	**-7%**	**8%**	**-10%**	**7%**	**6%**	**7%**								
Total sales	**43%**	**28%**	**14%**	**14%**	**-1%**	**-1%**	**11%**	**0%**								
YoY sales growth																
Semis	**225%**	**357%**	**344%**	**313%**	**116%**	**43%**	**33%**	**12%**	**30%**	**4%**	**-32%**	**67%**	**17%**	**313%**	**41%**	**7%**
Memory	**292%**	**470%**	**427%**	**372%**	**128%**	**45%**	**34%**	**11%**	**31%**	**-6%**	**-36%**	**91%**	**23%**	**391%**	**42%**	**7%**
DRAM	*338%*	*550%*	*485%*	*360%*	*128%*	*44%*	*34%*	*16%*	*39%*	*-6%*	*-36%*	*92%*	*42%*	*425%*	*44%*	*8%*
NAND	*220%*	*383%*	*412%*	*381%*	*122%*	*24%*	*5%*	*-1%*	*21%*	*-2%*	*-35%*	*97%*	*1%*	*358%*	*24%*	*3%*
Non-memory	15%	0%	0%	-5%	-7%	0%	17%	20%	28%	35%	-25%	18%	-2%	2%	7%	19%
Display	**14%**	**17%**	**-1%**	**-5%**	**4%**	**-1%**	**7%**	**3%**	**4%**	**8%**	**-10%**	**-6%**	**3%**	**5%**	**3%**	**6%**
Mobile	**3%**	**14%**	**11%**	**-3%**	**-15%**	**-25%**	**-10%**	**-10%**	**10%**	**11%**	**-7%**	**4%**	**11%**	**6%**	**-15%**	**-5%**
Mobile	*4%*	*13%*	*11%*	*-2%*	*-15%*	*-25%*	*-10%*	*-11%*	*9%*	*10%*	*-6%*	*5%*	*11%*	*7%*	*-15%*	*-6%*
Network	*-25%*	*29%*	*-33%*	*-30%*	*0%*	*-11%*	*25%*	*14%*	*29%*	*18%*	*-30%*	*-25%*	*10%*	*-16%*	*4%*	*11%*
CE	**-1%**	**3%**	**0%**	**-3%**	**-1%**	**-2%**	**2%**	**3%**	**16%**	**9%**	**-7%**	**0%**	**2%**	**-1%**	**1%**	**-2%**
TV	*-1%*	*10%*	*-1%*	*-6%*	*-5%*	*-8%*	*3%*	*5%*	*14%*	*6%*	*-9%*	*2%*	*0%*	*0%*	*-1%*	*2%*
Appliances	*-1%*	*-4%*	*2%*	*1%*	*5%*	*5%*	*1%*	*0%*	*19%*	*12%*	*-5%*	*-2%*	*4%*	*-1%*	*3%*	*-7%*
Harman	**12%**	**21%**	**8%**	**1%**	**10%**	**-3%**	**10%**	**9%**	**9%**	**32%**	**9%**	**-1%**	**11%**	**10%**	**6%**	**8%**
Total sales	**69%**	**130%**	**127%**	**137%**	**64%**	**27%**	**24%**	**9%**	**18%**	**8%**	**-14%**	**16%**	**11%**	**117%**	**27%**	**6%**

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

知识星球：前沿信息收录
更多一手投研资料扫码加微信
知识星球：前沿信息收录
VX:FCCNN88

Exhibit 58: Record-high quarterly OP seen in 3Q26 (W107tn; up 20% QoQ and nearly 10x higher than a year ago); we expect further OP improvement in 2026-28E on the back of DRAM/NAND/foundry price/margin recovery; low impact of special bonus assumed

SEC – OP breakdown by division

Wtn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
OP by biz unit																
Semis	**53.7**	**89.2**	**106.5**	**133.7**	**128.3**	**129.3**	**136.8**	**138.4**	**29.2**	**23.8**	**-14.9**	**15.1**	**24.9**	**383.1**	**532.9**	**526.4**
Memory	**55.5**	**97.5**	**117.2**	**135.6**	**129.9**	**130.8**	**137.9**	**139.8**	**27.8**	**20.0**	**-12.5**	**19.2**	**30.1**	**405.8**	**538.4**	**529.4**
DRAM	*42.7*	*71.4*	*85.0*	*100.5*	*97.8*	*100.2*	*107.9*	*109.0*	*21.9*	*16.5*	*-1.1*	*14.9*	*28.4*	*299.5*	*414.9*	*418.2*
NAND	*12.7*	*26.0*	*32.2*	*35.1*	*32.0*	*30.5*	*30.0*	*30.7*	*5.5*	*3.2*	*-11.3*	*4.3*	*1.5*	*106.0*	*123.2*	*110.8*
Non-memory	-1.8	-8.3	-10.7	-1.9	-1.6	-1.4	-1.1	-1.3	1.4	3.8	-2.3	-4.1	-5.2	-22.7	-5.5	-3.0
Display	**0.4**	**0.7**	**1.1**	**0.9**	**0.5**	**0.4**	**0.7**	**0.9**	**4.5**	**6.0**	**5.6**	**3.8**	**4.2**	**3.1**	**2.5**	**3.1**
Mobile	**2.8**	**-0.7**	**-0.6**	**-2.0**	**-1.6**	**-1.9**	**-1.6**	**-1.0**	**13.7**	**11.4**	**13.0**	**10.7**	**12.9**	**-0.5**	**-6.1**	**-2.1**
Mobile	*2.8*	*-0.7*	*-0.6*	*-2.0*	*-1.6*	*-1.9*	*-1.6*	*-1.0*	*13.0*	*10.6*	*12.6*	*10.9*	*12.9*	*-0.5*	*-6.1*	*-2.1*
Network	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.7*	*0.8*	*0.4*	*-0.3*	*0.0*	*0.0*	*0.0*	*0.0*
CE	**0.2**	**0.0**	**-0.2**	**-0.5**	**-0.2**	**-0.4**	**-0.4**	**-0.5**	**3.6**	**1.4**	**1.3**	**1.7**	**-0.2**	**-0.6**	**-1.4**	**-0.8**
TV	*0.2*	*0.2*	*0.0*	*-0.2*	*-0.1*	*-0.2*	*-0.1*	*-0.3*	*2.2*	*1.7*	*1.8*	*1.8*	*0.6*	*0.2*	*-0.8*	*-0.3*
Appliances	*0.0*	*-0.2*	*-0.2*	*-0.3*	*-0.1*	*-0.1*	*-0.2*	*-0.2*	*1.5*	*-0.3*	*-0.6*	*-0.1*	*-0.8*	*-0.7*	*-0.6*	*-0.4*
Harman	**0.2**	**0.4**	**0.6**	**0.3**	**0.3**	**0.3**	**0.3**	**0.3**	**0.6**	**0.9**	**1.2**	**1.3**	**1.5**	**1.5**	**1.2**	**1.3**
Others & adj	-0.1	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.1	0.0	0.4	0.2	0.3	-0.1	0.0	0.0
Total OP	**57.2**	**89.5**	**107.4**	**132.3**	**127.2**	**127.8**	**135.9**	**138.2**	**51.6**	**43.4**	**6.6**	**32.7**	**43.6**	**386.5**	**529.1**	**527.9**
OPM (% to sales)																
Semis	**65.7%**	**70.0%**	**72.4%**	**73.6%**	**72.6%**	**71.1%**	**69.9%**	**68.4%**	**30.8%**	**24.2%**	**-22.3%**	**13.6%**	**19.1%**	**71.2%**	**70.4%**	**64.8%**
Memory	**74.2%**	**80.7%**	**83.3%**	**77.4%**	**76.3%**	**74.7%**	**73.3%**	**71.8%**	**38.3%**	**29.2%**	**-28.4%**	**22.8%**	**28.9%**	**79.3%**	**73.9%**	**68.0%**
DRAM	*79.3%*	*80.2%*	*81.0%*	*80.7%*	*79.7%*	*78.1%*	*77.0%*	*75.6%*	*50.2%*	*40.2%*	*-4.2%*	*29.8%*	*40.1%*	*80.5%*	*77.5%*	*72.1%*
NAND	*60.3%*	*70.0%*	*71.3%*	*70.2%*	*68.4%*	*66.1%*	*63.2%*	*61.7%*	*20.6%*	*12.4%*	*-67.2%*	*13.0%*	*4.4%*	*69.1%*	*64.8%*	*56.8%*
Non-memory	-26.1%	-123.4%	-167.4%	-29.3%	-25.4%	-21.5%	-14.7%	-16.7%	6.5%	12.7%	-10.3%	-15.5%	-20.1%	-85.5%	-19.3%	-8.8%
Display	**6.0%**	**9.3%**	**13.8%**	**9.8%**	**6.7%**	**6.1%**	**8.2%**	**9.3%**	**14.0%**	**17.3%**	**18.0%**	**12.9%**	**14.0%**	**9.9%**	**7.7%**	**9.0%**
Mobile	**7.3%**	**-2.1%**	**-1.6%**	**-7.1%**	**-5.0%**	**-7.6%**	**-4.7%**	**-3.9%**	**12.5%**	**9.4%**	**11.6%**	**9.1%**	**10.0%**	**-0.4%**	**-5.2%**	**-1.9%**
Mobile	*7.4%*	*-2.2%*	*-1.6%*	*-7.3%*	*-5.1%*	*-7.9%*	*-4.7%*	*-4.1%*	*12.4%*	*9.2%*	*11.6%*	*9.6%*	*10.2%*	*-0.4%*	*-5.3%*	*-1.9%*
Network	*1.7%*	*1.1%*	*2.5%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*14.5%*	*15.1%*	*9.7%*	*-9.8%*	*-1.0%*	*1.2%*	*0.0%*	*0.0%*
CE	**1.4%**	**-0.1%**	**-1.4%**	**-3.8%**	**-1.5%**	**-2.5%**	**-2.5%**	**-3.1%**	**6.5%**	**2.2%**	**2.2%**	**3.0%**	**-0.3%**	**-1.0%**	**-2.4%**	**-1.3%**
TV	*3.0%*	*2.6%*	*0.0%*	*-3.0%*	*-2.0%*	*-3.0%*	*-2.0%*	*-3.0%*	*6.9%*	*5.0%*	*6.1%*	*5.8%*	*2.0%*	*0.6%*	*-2.5%*	*-1.1%*
Appliances	*-0.5%*	*-3.0%*	*-3.0%*	*-5.0%*	*-1.0%*	*-2.0%*	*-3.0%*	*-3.3%*	*6.0%*	*-1.1%*	*-2.2%*	*-0.4%*	*-3.2%*	*-2.8%*	*-2.3%*	*-1.7%*
Harman	**5.3%**	**8.7%**	**14.0%**	**7.0%**	**6.0%**	**7.0%**	**7.0%**	**6.0%**	**5.9%**	**6.7%**	**8.1%**	**9.3%**	**9.5%**	**8.8%**	**6.5%**	**6.5%**
Others & adj	0.6%	0.6%	-0.3%	0.0%	0.0%	0.0%	0.0%	0.0%	-0.5%	0.0%	-2.0%	-0.6%	-1.0%	0.2%	0.0%	0.0%
Total OP	**42.8%**	**52.2%**	**55.0%**	**59.5%**	**58.1%**	**58.8%**	**56.1%**	**57.1%**	**18.5%**	**14.4%**	**2.5%**	**10.9%**	**13.1%**	**53.5%**	**57.5%**	**54.1%**
OP Mix																
Semis	**94%**	**100%**	**99%**	**101%**	**101%**	**101%**	**101%**	**100%**	**57%**	**55%**	**-226%**	**46%**	**57%**	**99%**	**101%**	**100%**
Memory	**97%**	**109%**	**109%**	**102%**	**102%**	**102%**	**101%**	**101%**	**54%**	**46%**	**-191%**	**59%**	**69%**	**105%**	**102%**	**100%**
DRAM	*75%*	*80%*	*79%*	*76%*	*77%*	*78%*	*79%*	*79%*	*42%*	*38%*	*-17%*	*45%*	*65%*	*77%*	*78%*	*79%*
NAND	*22%*	*29%*	*30%*	*26%*	*25%*	*24%*	*22%*	*22%*	*11%*	*7%*	*-172%*	*13%*	*3%*	*27%*	*23%*	*21%*
Non-memory	-3%	-9%	-10%	-1%	-1%	-1%	-1%	-1%	3%	9%	-35%	-13%	-12%	-6%	-1%	-1%
Display	**1%**	**1%**	**1%**	**1%**	**0%**	**0%**	**1%**	**1%**	**9%**	**14%**	**85%**	**11%**	**10%**	**1%**	**0%**	**1%**
Mobile	**5%**	**-1%**	**-1%**	**-2%**	**-1%**	**-1%**	**-1%**	**-1%**	**26%**	**26%**	**198%**	**33%**	**30%**	**0%**	**-1%**	**0%**
Mobile	*5%*	*-1%*	*-1%*	*-2%*	*-1%*	*-1%*	*-1%*	*-1%*	*25%*	*24%*	*193%*	*33%*	*30%*	*0%*	*-1%*	*0%*
Network	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*1%*	*2%*	*6%*	*-1%*	*0%*	*0%*	*0%*	*0%*
CE	**0%**	**0%**	**0%**	**0%**	**0%**	**0%**	**0%**	**0%**	**7%**	**3%**	**19%**	**5%**	**0%**	**0%**	**0%**	**0%**
TV	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*4%*	*4%*	*28%*	*6%*	*1%*	*0%*	*0%*	*0%*
Appliances	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*3%*	*-1%*	*-9%*	*0%*	*-2%*	*0%*	*0%*	*0%*
Harman	**0%**	**0%**	**1%**	**0%**	**0%**	**0%**	**0%**	**0%**	**1%**	**2%**	**18%**	**4%**	**3%**	**0%**	**0%**	**0%**
Others & adj	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	7%	1%	1%	0%	0%	0%
Total OP	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

知识星球：前沿信息收录
VX:FCCNN88

Exhibit 59: DRAM OP margin still robust in 3Q (81%) even with significant special bonus payment; as such, we expect strong OP margin at near-80%+ to continue in 4Q26-1H27 on the back of solid ASP hike (up 20%/8% QoQ in 3Q/4Q even after 40-90% growth in 1H); we expect record-high margin to be sustainable at 70%+ range in 2027-28E thanks to more favorable chip pricing environment

SEC – DRAM forecasts

8Gb equiv	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales US$bn	**39.2**	**63.2**	**78.9**	**100.1**	**100.0**	**105.1**	**114.6**	**117.9**	**42.0**	**35.3**	**21.8**	**39.2**	**53.2**	**281.3**	**437.5**	**473.5**
Shipments, bn units	4.3	4.8	5.0	5.9	5.6	5.7	6.2	6.5	10.9	10.8	11.8	13.4	15.0	20.0	24.0	28.2
Wafer capa, k wpm	670	694	720	750	765	790	800	800	607	665	698	708	662	709	789	823
ASP US$/unit	9.0	13.1	15.7	17.1	18.0	18.3	18.5	18.1	3.9	3.3	1.8	2.9	3.5	14.0	18.2	16.8
Full cost/unit US$	1.9	2.6	3.0	3.3	3.6	4.0	4.3	4.4	1.9	1.9	1.9	2.1	2.1	2.7	4.1	4.7
OP US$bn	**31.1**	**50.7**	**63.9**	**80.8**	**79.7**	**82.0**	**88.2**	**89.1**	**21.0**	**14.4**	**-1.0**	**11.6**	**21.2**	**226.4**	**339.0**	**341.3**
OP margin	**79.3%**	**80.2%**	**81.0%**	**80.7%**	**79.7%**	**78.1%**	**77.0%**	**75.6%**	**50.1%**	**40.8%**	**-4.4%**	**29.7%**	**39.9%**	**80.5%**	**77.5%**	**72.1%**
FX rate (period-avg)	1,467	1,502	1,418	1,325	1,308	1,300	1,300	1,300	1,144	1,291	1,306	1,365	1,423	1,428	1,302	1,300
Sales Wtn	**53.9**	**89.0**	**104.9**	**124.4**	**122.8**	**128.4**	**140.1**	**144.3**	**43.7**	**41.1**	**26.1**	**50.0**	**71.0**	**372.2**	**535.5**	**580.2**
OP Wtn	**42.7**	**71.4**	**85.0**	**100.5**	**97.8**	**100.2**	**107.9**	**109.0**	**21.9**	**16.5**	**-1.1**	**14.9**	**28.4**	**299.5**	**414.9**	**418.2**
QoQ																
Sales	97%	61%	25%	27%	0%	5%	9%	3%								
Bit growth	3%	11%	4%	17%	-5%	3%	8%	5%								
Wafer capacity	1%	2%	4%	4%	4%	2%	3%	1%								
ASP	91%	45%	20%	8%	5%	2%	1%	-2%								
Full cost per unit	-12%	39%	15%	10%	11%	10%	6%	4%								
OP	44%	1%	1%	0%	-1%	-2%	-1%	-2%								
YoY																
Sales	332%	505%	470%	403%	155%	66%	45%	18%	43%	-16%	-38%	79%	36%	429%	56%	8%
Bit growth	37%	35%	22%	39%	29%	19%	24%	11%	27%	-1%	9%	14%	12%	33%	20%	18%
Wafer capa, k wpm	-2%	6%	11%	14%	14%	14%	11%	7%	13%	10%	5%	2%	-7%	7%	11%	4%
ASP	214%	347%	366%	261%	98%	40%	18%	6%	13%	-15%	-43%	58%	21%	296%	30%	-8%
Full cost per unit	-5%	14%	41%	54%	94%	54%	42%	35%	-5%	0%	0%	6%	4%	29%	50%	14%
OP	998%	2060%	1140%	640%	156%	62%	38%	10%	75%	-32%	-107%	-1300%	83%	965%	50%	1%

Source: Company, BofA Global Research estimates

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Exhibit 60: We assume NAND OP margin to remain solid at above-60% range in 4Q26-27, as already well-proved in 1Q-3Q26 driven by exceptionally strong ASP growth (up 67%/20% QoQ in 2Q/3Q even after +88% in 1Q) on the back of robust eSSD demand; near-60% OPM range also sustainable in 2027-28 even after special bonus

SEC – NAND forecasts

256Gb equiv	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales US$bn	**15.4**	**26.5**	**34.0**	**40.2**	**38.2**	**37.8**	**38.8**	**40.7**	**25.4**	**22.2**	**14.2**	**26.1**	**25.2**	**116.1**	**155.5**	**159.6**
Shipments (mn units)	2,794	2,875	3,077	3,538	3,361	3,428	3,703	3,999	7,500	7,707	8,932	9,899	10,228	12,284	14,491	16,891
Wafer capa, k wpm	490	495	505	530	535	545	555	560	584	643	651	620	522	505	549	580
ASP (US$)	5.5	9.2	11.0	11.4	11.4	11.0	10.5	10.2	3.4	2.9	1.6	2.6	2.5	9.4	10.7	9.4
Full cost (US$)	2.2	2.8	3.2	3.4	3.6	3.7	3.9	3.9	2.7	2.5	2.7	2.3	2.4	2.9	3.8	4.1
OP US$bn	**9.3**	**18.5**	**24.2**	**28.2**	**26.1**	**25.0**	**24.5**	**25.1**	**5.2**	**2.9**	**-9.6**	**3.4**	**1.1**	**80.3**	**100.8**	**90.6**
OP margin	**60.3%**	**70.0%**	**71.3%**	**70.2%**	**68.4%**	**66.1%**	**63.2%**	**61.7%**	**20.4%**	**13.1%**	**-67.7%**	**13.0%**	**4.3%**	**69.2%**	**64.8%**	**56.8%**
FX rate (period-avg)	1,467	1,502	1,418	1,325	1,308	1,300	1,300	1,300	1,144	1,291	1,306	1,365	1,423	1,428	1,302	1,300
Sales Wtn	**21.1**	**37.2**	**45.1**	**50.0**	**46.9**	**46.1**	**47.4**	**49.7**	**26.5**	**25.8**	**16.8**	**33.2**	**33.5**	**153.4**	**190.0**	**195.3**
OP Wtn	**12.7**	**26.0**	**32.2**	**35.1**	**32.0**	**30.5**	**30.0**	**30.7**	**5.5**	**3.2**	**-11.3**	**4.3**	**1.5**	**106.0**	**123.2**	**110.8**
QoQ																
Sales	101%	72%	28%	18%	-5%	-1%	3%	5%								
Bit growth	7%	3%	7%	15%	-5%	2%	8%	8%								
Wafer capacity	0%	1%	2%	5%	1%	2%	2%	1%								
ASP	88%	67%	20%	3%	0%	-3%	-5%	-3%								
Full cost per unit	-5%	26%	15%	7%	6%	4%	3%	1%								
OP	177%	16%	2%	-2%	-3%	-3%	-4%	-2%								
YoY																
Sales	216%	349%	399%	426%	148%	43%	14%	1%	25%	-13%	-36%	84%	-3%	360%	34%	3%
Bit growth	35%	9%	6%	35%	20%	19%	20%	13%	37%	3%	16%	11%	3%	20%	18%	17%
Wafer capacity	-12%	-7%	-1%	9%	9%	10%	10%	6%	7%	10%	1%	-5%	-16%	-3%	9%	6%
ASP	135%	312%	371%	288%	106%	20%	-5%	-11%	-9%	-15%	-45%	66%	-7%	283%	14%	-12%
Full cost per unit	-15%	15%	43%	48%	64%	36%	21%	15%	-11%	-7%	7%	-14%	3%	24%	30%	8%
OP	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	35%	-44%	-432%	-135%	-68%	7230%	26%	-10%

Source: Company, BofA Global Research estimates

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Exhibit 61: Our analysis indicates smaller loss in 2026-27 and eventually turnaround in 2028 vs 2025-26 downturns (mostly cost cut efforts driven; decent increase in 2-3nm node GAA foundry order also possible)
SEC – Logic/foundry earnings and capacity overview

System LSI/foundry	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales US$bn	**4.6**	**4.4**	**4.4**	**4.8**	**4.8**	**5.0**	**5.6**	**5.9**	**18.8**	**22.5**	**16.8**	**19.1**	**17.9**	**18.2**	**21.4**	**25.6**
Sales change QoQ	-1%	-5%	1%	10%	-1%	5%	12%	5%	28%	20%	-25%	13%	-6%	2%	17%	20%
FX rate (period-avg)	1,467	1,502	1,418	1,325	1,308	1,300	1,300	1,300	1,144	1,291	1,306	1,365	1,423	1,428	1,302	1,300
Sales Wtn	6.8	6.6	6.3	6.4	6.3	6.6	7.3	7.7	21.6	29.1	22.0	26.0	25.4	26.0	27.9	33.3
OP Wtn	-0.9	-2.1	-2.0	-1.9	-1.6	-1.4	-1.1	-1.3	1.5	3.2	-2.4	-5.0	-7.0	-6.9	-5.5	-3.0
OPM	**-13.7%**	**-31.4%**	**-32.2%**	**-30.0%**	**-26.0%**	**-22.0%**	**-15.0%**	**-17.0%**	**6.8%**	**11.0%**	**-11.0%**	**-19.2%**	**-27.7%**	**-26.6%**	**-19.7%**	**-9.0%**
Wafer capacity mix (k wpm)																
200mn	230	220	210	200	200	200	200	200	251	263	270	270	268	215	200	200
300mn	380	380	383	396	400	405	415	425	290	340	362	369	376	385	411	441
300mm equiv total	**482**	**478**	**476**	**485**	**489**	**494**	**504**	**514**	**402**	**457**	**482**	**489**	**495**	**480**	**500**	**530**
% of 300mm to total	**79%**	**80%**	**80%**	**82%**	**82%**	**82%**	**82%**	**83%**	**72%**	**74%**	**75%**	**75%**	**76%**	**80%**	**82%**	**83%**
Total capa YoY	-3%	-4%	-4%	0%	1%	3%	6%	6%	11%	14%	6%	1%	1%	-3%	4%	6%

*Actually running 200mm wafer capacity can be much lower than 280k besides already underutilized 12" fabs
Source: Company, BofA Global Research estimates

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Exhibit 62: Capex increase likely more notable given upbeat memory margin; foundry capex upside also seen if TSMC continuously fully utilize its 2-3nm node capacity (order shift to Samsung possible particularly 2nm node)
SEC – Capex by division – broadly disciplined

Wtn	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capex												
Semis	27.3	24.7	20.9	30.6	40.2	43.6	50.7	43.6	42.6	75.2	87.7	96.5
Memory	21.2	21.7	16.2	20.5	25.9	29.7	31.5	34.5	35.1	61.7	74.4	81.4
DRAM	8.2	13.7	10.4	9.7	13.3	16.0	18.1	23.3	28.3	47.3	58.2	64.2
NAND	13.0	8.0	5.8	10.8	12.4	13.5	13.2	11.0	6.6	14.2	16.0	17.0
Logic/foundry	6.1	3.0	4.7	10.1	14.3	13.9	19.2	9.1	7.5	13.5	13.3	15.1
OLED	13.1	2.4	2.0	3.9	3.9	2.5	2.4	4.8	2.8	2.3	2.5	2.5
Mobile	1.0	1.2	1.1	1.3	1.2	1.1	1.1	1.1	1.1	1.1	1.1	1.1
CE & others	0.6	0.7	1.1	2.0	2.0	2.5	3.7	2.1	1.3	7.1	3.2	3.2
Total capex	**42.8**	**29.6**	**25.4**	**37.6**	**47.1**	**49.4**	**57.6**	**51.4**	**47.5**	**85.5**	**94.3**	**103.1**
US$bn equiv	**37.9**	**26.9**	**21.8**	**31.9**	**41.2**	**38.3**	**44.1**	**37.7**	**33.4**	**59.9**	**72.4**	**79.3**
Semis	24.1	22.4	17.9	25.9	35.2	33.8	38.8	31.9	29.9	52.7	67.4	74.2
Non-semis	13.7	4.4	3.9	6.0	6.0	4.5	5.3	5.7	3.5	7.2	5.1	5.1
FX (W/US$)	**1,130**	**1,100**	**1,166**	**1,180**	**1,144**	**1,291**	**1,306**	**1,365**	**1,423**	**1,428**	**1,302**	**1,300**
Capex growth YoY												
Semis	110%	-9%	-15%	46%	32%	8%	16%	-14%	-2%	77%	17%	10%
Memory	121%	3%	-25%	26%	27%	14%	6%	10%	2%	76%	21%	9%
DRAM	93%	68%	-24%	-7%	38%	20%	13%	29%	22%	67%	23%	10%
NAND	144%	-38%	-28%	87%	16%	8%	-2%	-16%	-40%	115%	13%	6%
Logic/foundry	79%	-52%	58%	117%	42%	-3%	38%	-53%	-18%	81%	-1%	14%
OLED	64%	-82%	-18%	96%	1%	-36%	-4%	100%	-42%	-18%	9%	0%
Mobile	-32%	22%	-11%	14%	-6%	-6%	0%	0%	0%	0%	0%	0%
CE & others	-15%	26%	53%	76%	1%	23%	49%	-41%	-40%	460%	-55%	0%
Total capex	**77%**	**-31%**	**-14%**	**48%**	**25%**	**5%**	**17%**	**-11%**	**-8%**	**80%**	**10%**	**9%**
US$bn equiv	**82%**	**-29%**	**-19%**	**46%**	**29%**	**-7%**	**15%**	**-15%**	**-11%**	**79%**	**21%**	**9%**
Semis capex mix												
DRAM	30%	55%	50%	32%	33%	37%	36%	53%	67%	63%	66%	67%
NAND	47%	32%	28%	35%	31%	31%	26%	25%	16%	19%	18%	18%
Logic/foundry	22%	12%	22%	33%	36%	32%	38%	21%	18%	18%	15%	16%
Others	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
Total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

Source: Company, BofA Global Research estimates

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Exhibit 63: Capex increase likely strong led by DRAM and new shell fab construction activities (P5, etc.); NAND and foundry spend not yet strong vs DRAM
SEC – Semis capex breakdown (total vs. SPE-only)

Wtn	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E
Semis capex												
DRAM	8.2	13.7	10.4	9.7	13.3	16.0	18.1	23.3	28.3	47.3	58.2	64.2
NAND	13.0	8.0	5.8	10.8	12.4	13.5	13.2	11.0	6.6	14.2	16.0	17.0
Logic/foundry	6.1	3.0	4.7	10.1	14.3	13.9	19.2	9.1	7.5	13.5	13.3	15.1
Total semis	**27.3**	**24.7**	**20.9**	**30.6**	**40.2**	**43.6**	**50.7**	**43.6**	**42.6**	**75.2**	**87.7**	**96.5**
Semis capex YoY												
DRAM	93%	68%	-24%	-7%	38%	20%	13%	29%	22%	67%	23%	10%
NAND	144%	-38%	-28%	87%	16%	8%	-2%	-16%	-40%	115%	13%	6%
Logic/foundry	79%	-52%	58%	117%	42%	-3%	38%	-53%	-18%	81%	-1%	14%
Total semis	**110%**	**-9%**	**-15%**	**46%**	**32%**	**8%**	**16%**	**-14%**	**-2%**	**77%**	**17%**	**10%**
SPE only*												
DRAM	4.7	8.1	6.5	5.6	7.9	9.1	10.1	13.5	17.5	30.3	37.8	43.0
NAND	6.7	5.0	4.0	6.7	7.7	8.6	8.1	7.2	4.5	10.7	12.0	12.8
Logic/foundry	3.8	2.2	3.2	6.7	9.6	9.3	13.0	6.5	4.8	8.8	8.9	10.6
SPE total	**15.2**	**15.2**	**13.6**	**19.0**	**25.2**	**27.1**	**31.2**	**27.1**	**26.9**	**49.7**	**58.7**	**66.4**
SPE only YoY												
DRAM	77%	73%	-20%	-13%	40%	16%	11%	33%	30%	73%	25%	14%
NAND	108%	-26%	-20%	68%	16%	12%	-6%	-12%	-37%	137%	13%	6%
Logic/foundry	64%	-43%	49%	110%	42%	-3%	39%	-50%	-25%	81%	2%	19%
Total SPE capex	**86%**	**0%**	**-10%**	**40%**	**32%**	**8%**	**15%**	**-13%**	**-1%**	**85%**	**18%**	**13%**

*SPE stands for semiconductor production equipment including backend packaging/testing; non-SPE mostly for shell fab, power, datacenter, etc
Source: Company, BofA Global Research estimates

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Exhibit 64: Record-high capex spend mostly driven by DRAM and partially by NAND and foundry
SEC – Quarterly capex trend

Wtn; cash basis	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Overall capex breakdown, Wtn																
Semis	11.7	12.4	25.3	25.8	21.0	22.9	22.2	21.6	40.2	43.6	50.7	43.6	42.6	75.2	87.7	96.5
OLED	0.5	0.5	0.6	0.7	0.7	0.6	0.5	0.7	3.9	2.5	2.4	4.8	2.8	2.3	2.5	2.5
LCD	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
IM	0.3	0.3	0.3	0.2	0.3	0.3	0.3	0.2	1.2	1.1	1.1	1.1	1.1	1.1	1.1	1.1
CE & others	4.6	0.9	0.7	0.7	0.7	0.8	0.8	0.7	1.8	2.3	3.5	1.9	1.1	6.9	3.0	3.0
Total capex spend	**17.1**	**14.1**	**26.9**	**27.4**	**22.7**	**24.6**	**23.8**	**23.2**	**47.1**	**49.4**	**57.6**	**51.4**	**47.5**	**85.5**	**94.3**	**103.1**
Semis capex breakdown, Wtn																
Memory	9.9	10.4	20.0	21.4	17.9	19.9	18.5	18.1	25.9	29.7	31.5	34.5	35.1	61.7	74.4	81.4
DRAM	8.1	8.1	15.2	16.1	13.6	15.1	15.1	14.6	13.3	16.0	18.1	23.3	28.3	47.3	58.2	64.2
NAND	1.8	2.3	4.8	5.3	4.3	4.8	3.4	3.5	12.4	13.5	13.2	11.0	6.6	14.2	16.0	17.0
Logic/foundry	1.8	2.0	5.3	4.4	3.1	3.0	3.7	3.5	14.3	13.9	19.2	9.1	7.5	13.5	13.3	15.1
Semis total	**11.7**	**12.4**	**25.3**	**25.8**	**21.0**	**22.9**	**22.2**	**21.6**	**40.2**	**43.6**	**50.7**	**43.6**	**42.6**	**75.2**	**87.7**	**96.5**
US$bn equiv capex																
Semis	8.0	8.3	17.8	19.5	16.1	17.6	17.1	16.6	35.2	33.4	38.8	31.9	29.9	53.5	67.4	74.2
OLED	0.3	0.3	0.4	0.5	0.5	0.5	0.4	0.5	3.4	2.0	1.8	3.5	2.0	1.6	1.9	1.9
LCD	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
IM	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	1.0	0.9	0.8	0.8	0.8	0.8	0.8	0.8
CE & others	3.2	0.6	0.5	0.5	0.5	0.6	0.6	0.5	1.6	1.7	2.6	1.4	0.8	4.8	2.3	2.3
Consolidated capex total	**11.7**	**9.4**	**19.0**	**20.7**	**17.4**	**18.9**	**18.3**	**17.8**	**41.2**	**38.0**	**44.1**	**37.6**	**33.4**	**60.7**	**72.4**	**79.3**
US$bn equiv semis capex																
Memory	6.7	6.9	14.1	16.2	13.7	15.3	14.2	13.9	22.7	22.7	24.1	25.2	24.7	43.9	57.2	62.6
DRAM	5.5	5.4	10.7	12.1	10.4	11.6	11.6	11.2	11.6	12.2	13.9	17.0	19.9	33.6	44.7	49.4
NAND	1.2	1.5	3.4	4.0	3.3	3.7	2.6	2.7	10.9	10.4	10.1	8.1	4.6	10.1	12.3	13.1
Others	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.1	0.2	0.2	0.1	0.1	0.1	0.2	0.2
Logic/foundry	1.2	1.3	3.7	3.3	2.4	2.3	2.8	2.7	12.5	10.7	14.7	6.7	5.2	9.6	10.2	11.6
Consolidated semi capex total	**8.0**	**8.3**	**17.8**	**19.5**	**16.1**	**17.6**	**17.1**	**16.6**	**35.2**	**33.4**	**38.8**	**31.9**	**29.9**	**53.5**	**67.4**	**74.2**

Source: Company, BofA Global Research estimates

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Exhibit 65: P4 (4th fab in Pyeongtaek) will lead wafer capacity expansion (mostly 1c node HBM and high-end DRAM); P5 shell fab will likely be completed in 1H28, thus new capacity addition (from P5) will be for 2H28-29; US Taylor foundry fab ramp-up appears slow for now

SEC – Wafer capacity by fab

(k wpm)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
300mm																
DRAM	670	694	720	750	765	790	800	800	607	665	698	708	662	709	789	823
NAND	490	495	505	530	535	545	555	560	584	643	651	620	522	505	549	580
Logic/foundry	380	380	383	396	400	405	415	425	293	340	363	369	376	385	411	441
Semis total	**1,540**	**1,569**	**1,608**	**1,676**	**1,700**	**1,740**	**1,770**	**1,785**	**1,484**	**1,648**	**1,711**	**1,697**	**1,560**	**1,598**	**1,749**	**1,843**
YoY chg																
DRAM	-2%	6%	11%	14%	14%	14%	11%	7%	13%	10%	5%	2%	-7%	7%	11%	4%
NAND	-12%	-7%	-1%	9%	9%	10%	10%	6%	7%	10%	1%	-5%	-16%	-3%	9%	6%
Logic/foundry	0%	0%	1%	3%	1%	1%	2%	2%	16%	16%	7%	2%	2%	2%	7%	7%
Semis total	**1%**	**2%**	**2%**	**4%**	**1%**	**2%**	**2%**	**1%**	**11%**	**11%**	**4%**	**-1%**	**-8%**	**2%**	**9%**	**5%**
DRAM fab																
Line 15 & others	325	320	320	320	320	320	310	290	458	469	463	438	355	321	310	273
P1	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100
P2	130	130	130	130	130	130	130	130	50	96	120	121	129	130	130	130
P3	95	100	100	100	100	100	100	100	0	0	15	50	76	99	100	100
P4	20	44	70	100	115	140	160	180	0	0	0	0	2	59	149	198
P5	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	23
DRAM total	**670**	**694**	**720**	**750**	**765**	**790**	**800**	**800**	**607**	**665**	**698**	**708**	**662**	**709**	**789**	**823**
NAND fab																
Line 12 & others	0	0	0	0	0	0	0	0	135	135	135	93	15	0	0	0
Xian China fabs	150	150	160	180	180	180	180	180	250	259	260	243	188	160	180	180
P1	190	185	180	180	180	180	180	180	188	198	200	200	198	184	180	180
P2	75	80	80	80	80	80	80	80	12	52	57	60	64	79	80	80
P3	55	60	60	60	65	70	75	80	0	0	0	24	43	59	73	93
P4	20	20	25	30	30	35	40	40	0	0	0	1	15	24	36	40
P5	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	8
NAND total	**490**	**495**	**505**	**530**	**535**	**545**	**555**	**560**	**584**	**643**	**651**	**620**	**522**	**505**	**549**	**580**
Foundry fab																
8" fabs	230	220	210	200	200	200	200	200	251	263	270	270	268	215	200	200
S1/S2/S3	215	215	218	230	233	235	240	245	177	203	215	215	215	215	215	218
P1	0	0	0	0	0	0	0	0	11	33	40	40	40	40	40	40
P2	40	40	40	40	40	40	40	40	0	0	3	9	16	20	28	40
P3	20	20	20	21	22	25	30	35	0	0	0	0	0	0	0	0
P4	0	0	0	0	0	0	0	0	0	0	0	0	0	5	23	39
P5	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
US Austin S2	105	105	105	105	105	105	105	105	105	105	105	105	105	105	105	105
US Taylor new	0	0	3	15	18	20	25	30	0	0	0	0	0	5	23	39
8" only total	**230**	**220**	**210**	**200**	**200**	**200**	**200**	**200**	**251**	**263**	**270**	**270**	**268**	**215**	**200**	**200**
12" only total	**380**	**380**	**383**	**396**	**400**	**405**	**415**	**425**	**293**	**340**	**363**	**369**	**376**	**385**	**411**	**441**
300mm equiv	**482**	**478**	**476**	**485**	**489**	**494**	**504**	**514**	**405**	**457**	**483**	**489**	**495**	**480**	**500**	**530**

Source: Company, BofA Global Research estimates

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Exhibit 66: We expect 2026-28E OP margin to stay at high-single or low-teen% (still better than mid-cycle) despite saturation (smartphone), US tariffs (potentially weaker demand) and price competition (with LG Display, BOE and other China panel makers); SEC still number 1 in OLED area

SEC – Display sales and OP breakdown - OLED

	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales, Wtn	**6.7**	**7.5**	**8.0**	**9.1**	**7.0**	**7.4**	**8.6**	**9.3**	**31.7**	**34.4**	**31.0**	**29.1**	**29.9**	**31.3**	**32.3**	**34.1**
Sales change - QoQ/YoY	-29%	12%	7%	13%	-23%	6%	16%	8%	4%	8%	-10%	-6%	3%	5%	3%	6%
OP	**0.4**	**0.7**	**1.1**	**0.9**	**0.5**	**0.4**	**0.7**	**0.9**	**4.5**	**6.0**	**5.6**	**3.8**	**4.2**	**3.1**	**2.5**	**3.1**
OP change - QoQ/YoY	-80%	75%	57%	-19%	-47%	-5%	58%	22%	100%	34%	-6%	-32%	12%	-27%	-19%	23%
OP margin	**6.0%**	**9.3%**	**13.8%**	**9.8%**	**6.7%**	**6.1%**	**8.2%**	**9.3%**	**14.0%**	**17.3%**	**18.0%**	**12.9%**	**14.0%**	**9.9%**	**7.7%**	**9.0%**
Sales, US$bn	4.6	5.0	5.6	6.8	5.3	5.7	6.6	7.2	27.7	26.6	23.7	21.3	21.0	22.0	22.8	23.5
OP, US$bn	0.3	0.5	0.8	0.7	0.4	0.3	0.5	0.7	3.9	4.6	4.3	2.7	2.9	2.2	2.3	2.1

Source: Company, BofA Global Research estimates

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Exhibit 67: Overall smartphone shipment growth still below-trend, but high-end models should be relatively resilient; relatively better positioned vs China OEMs given in-house memory chip sourcing and solid market dominant positions in Korea/US domestic markets (retail price increase also seen)
SEC – Smartphone mix trend

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Shipments, mn units														
Premium/flagship models	64	65	65	58	53	43	47	43	42	46	46	45	46	47
GS	*45*	*59*	*56*	*43*	*39*	*29*	*36*	*33*	*34*	*39*	*40*	*38*	*39*	*40*
Note	*18*	*6*	*10*	*15*	*14*	*12*	*4*	*1*	*0*	*0*	*0*	*0*	*0*	*0*
Foldable	*0.0*	*0.0*	*0.0*	*0.0*	*0.3*	*1.8*	*7*	*9*	*8*	*6*	*6*	*7*	*7*	*8*
High-end	17	16	15	16	17	18	19	20	20	20	20	20	20	20
Mid-end	45	40	41	41	47	46	55	60	70	80	85	85	85	85
Low-end	195	190	194	175	178	147	150	135	93	78	89	84	59	46
Total units	**320**	**311**	**315**	**290**	**295**	**254**	**271**	**258**	**225**	**224**	**240**	**233**	**210**	**199**
5G units	0	0	0	0	7	28	72	119	128	150	185	189	180	171
Shipment mix														
Premium (flagship models)	20%	21%	21%	20%	18%	17%	17%	17%	19%	20%	19%	19%	22%	24%
High-end	5%	5%	5%	6%	6%	7%	7%	8%	9%	9%	8%	9%	10%	10%
Mid-end	14%	13%	13%	14%	16%	18%	20%	23%	31%	36%	35%	36%	41%	43%
Low-end	61%	61%	62%	60%	60%	58%	55%	52%	41%	35%	37%	36%	28%	23%
Total units	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Foldable	0%	0%	0%	0%	0%	1%	3%	4%	3%	3%	3%	3%	3%	4%
5G	0%	0%	0%	0%	2%	11%	27%	46%	57%	67%	77%	81%	86%	86%
ASP (US$)														
Premium (flagship models)	533	525	605	682	683	684	683	761	752	746	790	909	760	672
High-end	355	340	335	340	355	350	360	340	320	300	298	300	310	300
Mid-end	233	227	220	240	245	275	270	270	250	230	225	228	230	225
Low-end	127	120	115	111	110	107	110	105	100	95	93	95	98	97
Average	**235**	**230**	**241**	**256**	**249**	**253**	**260**	**271**	**288**	**294**	**290**	**316**	**316**	**309**
Revenue (US$bn)														
Premium (flagship models)	33.9	34.0	39.6	39.5	36.2	29.6	32.3	32.8	31.6	33.9	36.3	40.4	34.6	31.8
High-end	6.0	5.4	5.0	5.4	6.0	6.3	6.8	6.8	6.4	6.0	6.0	6.0	6.2	6.0
Mid-end	10.4	9.2	9.0	9.7	11.6	12.6	14.9	16.2	17.5	18.4	19.1	19.4	19.6	19.1
Low-end	24.7	22.7	22.3	19.4	19.5	15.7	16.5	14.2	9.3	7.4	8.3	8.0	5.8	4.5
Total sales	**75.1**	**71.3**	**75.9**	**74.1**	**73.4**	**64.1**	**70.4**	**70.0**	**64.8**	**65.8**	**69.7**	**73.8**	**66.2**	**61.4**
Revenue mix														
Premium (flagship models)	45%	48%	52%	53%	49%	46%	46%	47%	49%	52%	52%	55%	52%	52%
High-end	8%	8%	7%	7%	8%	10%	10%	10%	10%	9%	9%	8%	9%	10%
Mid-end	14%	13%	12%	13%	16%	20%	21%	23%	27%	28%	27%	26%	30%	31%
Low-end	33%	32%	29%	26%	27%	24%	23%	20%	14%	11%	12%	11%	9%	7%
Total revenue	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

Source: Company, BofA Global Research estimates

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Exhibit 68: Sales volume (shipment units) likely resilient (200mn+ pa assumed as a global leader) but sharp drop in 2026-28E annual OP (breakeven level in 2026 and W4tn/1tn loss in 2027/28E) mostly due to significant increase in memory costs
SEC – Smartphone business forecast

	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Shipments, mn units	**59**	**65**	**56**	**53**	**56**	**52**	**53**	**49**	**271**	**258**	**225**	**224**	**240**	**233**	**210**	**199**
ASP, US$/unit	350	261	360	300	345	264	364	285	260	271	288	294	290	316	316	309
Sales, US$bn	**21**	**17**	**20**	**16**	**19**	**14**	**19**	**14**	**70**	**70**	**65**	**66**	**70**	**74**	**66**	**61**
OP, US$bn	1.9	-0.3	-0.2	-1.2	-1.0	-1.2	-1.1	-0.7	9.7	7.1	9.1	7.4	8.7	0.3	-4.0	-1.6
OP margin	**9%**	**-2%**	**-1%**	**-8%**	**-5%**	**-9%**	**-6%**	**-5%**	**14%**	**10%**	**14%**	**11%**	**12%**	**0%**	**-6%**	**-3%**
QoQ																
Shipments	**-2%**	**10%**	**-13%**	**-6%**	**5%**	**-7%**	**3%**	**-8%**								
ASP	43%	-25%	38%	-17%	15%	-24%	38%	-22%								
Sales	**41%**	**-18%**	**19%**	**-22%**	**21%**	**-29%**	**42%**	**-28%**								
OP	51%	-114%	-37%	665%	-23%	28%	-13%	-34%								
YoY																
Shipments	**-3%**	**12%**	**-8%**	**-12%**	**-6%**	**-20%**	**-5%**	**-7%**	**7%**	**-5%**	**-13%**	**-1%**	**7%**	**-3%**	**-10%**	**-5%**
ASP	7%	-3%	13%	23%	-2%	1%	1%	-5%	3%	4%	6%	2%	-1%	9%	0%	-2%
Sales	**4%**	**8%**	**4%**	**9%**	**-7%**	**-20%**	**-4%**	**-12%**	**10%**	**-1%**	**-7%**	**1%**	**6%**	**6%**	**-10%**	**-7%**
OP	-34%	-112%	-107%	-200%	-151%	376%	557%	-44%	8%	-26%	28%	-19%	17%	-96%	-1239%	-60%

Source: Company, BofA Global Research estimates

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Earnings outlook in 2026-28E

Exhibit 69: Earnings momentum highly dependent on memory cycle – 2023 downturn (OP sub-W10tn), 2024-25 mid-cycle (W40tn+/-) then 2026-28 super-cycle (W300-500tn) on the back of conventional DRAM, HBM and even foundry
SEC – Income statement

Wtn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales total	**133.9**	**171.5**	**195.3**	**222.4**	**219.1**	**217.5**	**242.1**	**242.1**	**279.6**	**302.2**	**258.9**	**300.9**	**333.6**	**723.0**	**920.8**	**975.0**
Semis	81.7	127.5	147.1	181.6	176.7	181.8	195.7	202.5	94.8	98.5	66.6	111.1	130.1	537.9	756.8	812.6
Memory	74.8	120.8	140.7	175.1	170.3	175.1	188.2	194.7	72.6	68.5	44.1	84.5	104.1	511.4	728.3	778.6
Logic/foundry	6.9	6.7	6.4	6.6	6.4	6.7	7.5	7.9	22.2	29.9	22.5	26.6	26.0	26.6	28.5	34.0
Display	6.7	7.5	8.0	9.1	7.0	7.4	8.6	9.3	31.7	34.4	31.0	29.1	29.9	31.3	32.3	34.1
IM	38.1	33.2	37.7	28.3	32.4	24.9	34.0	25.4	109.3	120.8	112.4	117.2	129.6	137.3	116.7	110.6
Mobile	37.5	32.3	37.3	27.6	31.8	24.1	33.5	24.6	104.7	115.4	108.6	114.4	126.5	134.7	114.0	107.6
Network & others	0.6	0.9	0.4	0.7	0.6	0.8	0.5	0.8	4.6	5.4	3.8	2.8	3.1	2.6	2.7	3.0
CE	14.3	14.5	13.9	14.3	14.2	14.2	14.2	14.7	55.8	60.6	56.4	56.4	57.3	57.0	57.4	56.2
TV & others	7.7	7.7	7.2	8.3	7.3	7.1	7.4	8.7	31.5	33.3	30.4	31.0	30.9	30.9	30.5	31.1
Others	6.6	6.8	6.7	6.0	6.9	7.1	6.8	6.0	24.3	27.4	26.1	25.5	26.4	26.1	26.9	25.1
Auto (Harman)	3.8	4.6	4.3	4.6	4.2	4.5	4.7	5.1	10.0	13.2	14.4	14.3	15.8	17.3	18.5	19.9
Others & adj	-10.7	-15.8	-15.7	-15.6	-15.4	-15.3	-15.1	-15.0	-22.0	-25.3	-21.9	-27.3	-29.1	-57.9	-60.8	-58.4
COGS	52.0	52.2	60.0	60.8	61.5	59.0	74.8	72.0	166.4	190.0	180.4	186.6	202.2	224.9	267.3	307.2
Gross profit	**81.9**	**119.3**	**135.3**	**161.6**	**157.5**	**158.5**	**167.3**	**170.1**	**113.2**	**112.2**	**78.5**	**114.3**	**131.4**	**498.1**	**653.5**	**667.8**
Opex (R&D+SG&A)	**24.7**	**29.8**	**27.9**	**29.3**	**30.3**	**30.7**	**31.4**	**32.0**	**61.6**	**68.8**	**72.0**	**81.6**	**87.8**	**111.6**	**124.4**	**139.9**
R&D	11.3	16.0	14.4	15.1	15.5	16.0	16.3	16.5	22.6	24.9	28.3	35.0	37.7	56.9	64.3	71.7
SG&A	**13.3**	**13.8**	**13.5**	**14.1**	**14.8**	**14.7**	**15.1**	**15.4**	**39.0**	**43.9**	**43.6**	**46.6**	**50.0**	**54.7**	**60.1**	**68.2**
SG&A QoQ / YoY	*0%*	*3%*	*-2%*	*5%*	*5%*	*-1%*	*3%*	*2%*	*11%*	*13%*	*-1%*	*7%*	*7%*	*9%*	*10%*	*13%*
Opex to sales	*18%*	*17%*	*14%*	*13%*	*14%*	*14%*	*13%*	*13%*	*22%*	*23%*	*28%*	*27%*	*26%*	*15%*	*14%*	*14%*
OP total	**57.2**	**89.5**	**107.4**	**132.3**	**127.2**	**127.8**	**135.9**	**138.2**	**51.6**	**43.4**	**6.6**	**32.7**	**43.6**	**386.5**	**529.1**	**527.9**
Semis	53.7	89.2	106.5	133.7	128.3	129.3	136.8	138.4	29.2	23.8	-14.9	15.1	24.9	383.1	532.9	526.4
Display	0.4	0.7	1.1	0.9	0.5	0.4	0.7	0.9	4.5	6.0	5.6	3.8	4.2	3.1	2.5	3.1
IM	2.8	-0.7	-0.6	-2.0	-1.6	-1.9	-1.6	-1.0	13.7	11.4	13.0	10.7	12.9	-0.5	-6.1	-2.1
CE	0.2	0.0	-0.2	-0.5	-0.2	-0.4	-0.4	-0.5	3.6	1.4	1.3	1.7	-0.2	-0.6	-1.4	-0.8
Auto (Harman)	0.2	0.4	0.6	0.3	0.3	0.3	0.3	0.3	0.6	0.9	1.2	1.3	1.5	1.5	1.2	1.3
Others	-0.1	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.1	0.0	0.4	0.2	0.3	-0.1	0.0	0.0
Net non-OP income	**1.6**	**4.9**	**-8.9**	**1.3**	**1.4**	**1.4**	**1.7**	**1.5**	**1.7**	**3.1**	**4.4**	**4.8**	**5.9**	**-1.0**	**6.1**	**7.1**
Net interest income	1.3	4.7	-9.5	1.0	1.1	1.2	1.3	1.2	0.8	1.8	3.5	3.7	4.5	-2.5	4.7	5.7
Net gains from equity	0.2	0.2	0.4	0.3	0.3	0.3	0.4	0.3	0.7	1.1	0.9	0.8	0.7	1.2	1.2	1.3
Net FX gains	0.3	1.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	-0.3	-0.1	-0.4	0.0	1.4	0.0	0.0
Other net gains	0.1	0.0	0.2	0.0	0.0	0.0	0.0	0.0	0.1	0.2	0.1	0.3	0.7	0.3	0.1	0.1
Pre-tax income	**58.8**	**94.4**	**98.5**	**133.6**	**128.6**	**129.3**	**137.6**	**139.7**	**53.4**	**46.4**	**11.0**	**37.5**	**49.5**	**385.4**	**535.1**	**535.0**
Tax	11.6	22.8	23.4	33.4	32.1	32.3	34.4	34.9	13.4	-9.2	-4.5	3.1	4.3	91.2	133.8	133.7
Effective tax rate	*20%*	*24%*	*24%*	*25%*	*25%*	*25%*	*25%*	*25%*	*25%*	*-20%*	*-41%*	*8%*	*9%*	*24%*	*25%*	*25%*
Net profit	**47.2**	**71.6**	**75.1**	**100.2**	**96.4**	**97.0**	**103.2**	**104.8**	**39.9**	**55.7**	**15.5**	**34.5**	**45.2**	**294.2**	**401.4**	**401.2**
NP after min. int.	**47.1**	**71.3**	**75.2**	**99.8**	**96.0**	**96.5**	**102.7**	**104.3**	**39.2**	**54.7**	**14.5**	**33.6**	**44.3**	**293.4**	**399.6**	**399.4**
Minority interests	0.1	0.4	-0.1	0.4	0.4	0.4	0.5	0.5	0.7	0.9	1.0	0.8	0.9	0.8	1.8	1.9
EPS	**6,993**	**10,719**	**11,312**	**15,009**	**14,439**	**14,515**	**15,454**	**15,689**	**5,777**	**8,057**	**2,131**	**4,956**	**6,564**	**43,980**	**60,098**	**60,066**
ROE (annualized)	**41.9%**	**54.9%**	**51.6%**	**62.9%**	**53.6%**	**47.6%**	**45.9%**	**43.8%**	**13.9%**	**17.1%**	**4.1%**	**9.0%**	**10.8%**	**53.6%**	**48.6%**	**35.6%**
Margins (%)																
GP margin	61%	70%	69%	73%	72%	73%	69%	70%	40%	37%	30%	38%	39%	69%	71%	68%
OP margin	43%	52%	55%	59%	58%	59%	56%	57%	18%	14%	3%	11%	13%	53%	57%	54%
NP margin	35%	42%	39%	45%	44%	44%	42%	43%	14%	18%	6%	11%	13%	41%	43%	41%

Source: Company, BofA Global Research estimates

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Exhibit 70: Robust net cash continued in 3Q26 (near-W200tn as of 3Q26, which is around 2x higher than end-2025); we expect steadily increasing net cash to sustain in 2027-28E

SEC – Balance sheet

Wtn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Total assets	**633.3**	**759.5**	**791.8**	**857.1**	**950.2**	**1,043.6**	**1,116.0**	**1,155.7**	**426.6**	**448.4**	**455.9**	**514.5**	**566.9**	**857.1**	**1,155.7**	**1,452.0**
Current assets	**306.2**	**379.7**	**418.0**	**465.8**	**548.7**	**630.0**	**691.3**	**720.6**	**218.2**	**218.5**	**195.9**	**227.1**	**247.7**	**465.8**	**720.6**	**966.3**
Cash & cash equiv	147.4	190.0	214.8	267.9	344.7	426.0	487.6	520.6	124.2	115.2	92.4	112.7	125.8	267.9	520.6	762.8
Accounts receivables	82.3	96.4	106.1	102.9	106.3	105.3	108.7	105.5	40.7	35.7	36.6	43.6	51.1	102.9	105.5	107.5
Inventories	58.3	71.4	72.0	71.3	73.8	74.5	70.5	69.8	41.4	52.2	51.6	51.8	52.6	71.3	69.8	70.2
Other current assets	18.3	21.9	25.1	23.7	24.0	24.2	24.4	24.7	11.9	15.3	15.3	19.0	18.1	23.7	24.7	25.7
Fixed assets	**327.1**	**379.8**	**373.8**	**391.3**	**401.5**	**413.6**	**424.7**	**435.1**	**208.5**	**230.0**	**260.0**	**287.5**	**319.3**	**391.3**	**435.1**	**485.8**
Long-term investment	37.6	53.8	53.3	53.8	54.3	54.9	55.4	56.0	24.4	23.7	20.7	24.3	31.3	53.8	56.0	58.2
PP&E	217.8	224.4	234.0	248.1	257.3	268.4	278.4	287.8	149.9	168.0	187.3	205.9	215.3	248.1	287.8	334.0
Intangible assets	29.6	29.4	27.1	26.9	26.8	26.7	26.5	26.4	20.2	20.2	22.7	23.7	29.5	26.9	26.4	25.9
Others	42.1	72.2	59.5	62.4	63.1	63.7	64.3	65.0	13.9	18.0	29.3	33.4	43.1	62.4	65.0	67.6
Total liabilities	**146.7**	**180.2**	**177.7**	**172.8**	**171.9**	**170.8**	**170.2**	**168.3**	**121.7**	**93.7**	**92.2**	**112.3**	**130.6**	**172.8**	**168.3**	**164.1**
Current liabilities	**120.6**	**134.2**	**134.8**	**129.8**	**128.8**	**127.5**	**126.9**	**124.9**	**88.1**	**78.3**	**75.7**	**93.3**	**106.4**	**129.8**	**124.9**	**120.2**
ST debts	20.7	14.9	9.8	9.7	9.6	9.5	9.4	9.3	15.0	6.2	8.4	15.4	18.8	9.7	9.3	8.9
ST payables	15.8	17.2	16.6	12.8	13.0	12.9	13.4	12.5	13.5	10.6	11.3	12.4	13.0	12.8	12.5	12.3
Others	84.0	102.1	108.4	107.3	106.2	105.2	104.1	103.1	59.6	61.5	56.0	65.6	74.6	107.3	103.1	99.0
Non-current liabilities	**26.1**	**46.0**	**42.9**	**43.0**	**43.1**	**43.2**	**43.3**	**43.4**	**33.6**	**15.3**	**16.5**	**19.0**	**24.2**	**43.0**	**43.4**	**43.9**
LT debts	7.4	7.5	7.4	7.3	7.3	7.2	7.1	7.0	3.4	4.1	4.3	4.0	6.5	7.3	7.0	6.8
Others	18.7	38.5	35.5	35.7	35.9	36.0	36.2	36.4	30.2	11.2	12.2	15.1	17.7	35.7	36.4	37.1
Equity total	**474.0**	**565.1**	**599.8**	**670.0**	**764.0**	**858.5**	**931.4**	**973.0**	**296.2**	**345.2**	**353.2**	**391.7**	**424.3**	**670.0**	**973.0**	**1,273.4**
Paid-in capital	0.9	0.9	0.9	0.9	0.9	0.9	0.9	0.9	0.9	0.9	0.9	0.9	0.9	0.9	0.9	0.9
Capital surplus	4.4	4.4	4.4	4.4	4.4	4.4	4.4	4.4	4.4	4.4	4.4	4.4	4.4	4.4	4.4	4.4
Retained earnings	445.6	509.1	554.2	624.4	718.5	813.0	886.0	927.6	293.1	337.9	346.7	370.5	402.1	624.4	927.6	1,228.1
Others	23.1	50.7	40.3	40.3	40.2	40.2	40.1	40.1	-2.1	1.9	1.3	15.9	16.9	40.3	40.1	39.9
Minority interest	12.7	14.2	14.3	14.3	14.3	14.4	14.4	14.4	8.7	9.6	10.4	10.5	12.0	14.3	14.4	14.5
Net Assets	486.6	579.3	614.1	684.3	778.3	872.8	945.8	987.4	304.9	354.7	363.7	402.2	436.3	684.3	987.4	1,287.9
BVPS (Wk)	**71.7**	**86.1**	**92.0**	**102.7**	**116.3**	**130.7**	**141.8**	**148.2**	**43.6**	**50.8**	**52.0**	**58.0**	**64.0**	**102.7**	**148.2**	**193.9**
Gross debts	28.1	22.4	17.2	17.0	16.8	16.7	16.5	16.3	18.4	10.3	12.7	19.3	25.2	17.0	16.3	15.7
Cash & cash equiv	147.4	190.0	214.8	267.9	344.7	426.0	487.6	520.6	124.2	115.2	92.4	112.7	125.8	267.9	520.6	762.8
Net debts	-119.2	-167.6	-197.6	-250.9	-327.8	-409.3	-471.1	-504.3	-105.8	-104.9	-79.7	-93.3	-100.6	-250.9	-504.3	-747.1
Net debt/Equity	-25%	-30%	-33%	-37%	-43%	-48%	-51%	-52%	-36%	-30%	-23%	-24%	-24%	-37%	-52%	-59%

Source: Company, BofA Global Research estimates

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Exhibit 71: Cash generation will likely skyrocket along with memory super-cycle in 2026-28E
SEC – Cash flow statement

Wbn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
I. Operating CF	**40,274**	**105,081**	**98,600**	**113,471**	**102,451**	**108,988**	**116,204**	**119,995**	**65,105**	**62,181**	**44,137**	**72,983**	**85,315**	**357,426**	**447,638**	**448,425**
Net income	47,101	71,269	75,208	99,788	96,003	96,507	102,748	104,310	39,244	54,730	14,473	33,621	44,261	293,367	399,568	399,355
Depreciation/amort	12,367	13,007	12,994	13,319	13,453	13,587	13,723	13,860	34,247	39,108	38,667	42,631	46,927	51,688	54,623	56,841
Net WC changes	-24,797	-11,464	-7,736	363	-7,004	-1,106	-267	1,824	-6,330	-10,221	-5,098	-231	2,285	-43,633	-6,553	-7,771
Others	5,603	32,268	18,133	0	0	0	0	0	-2,055	-21,435	-3,904	-3,039	-8,158	56,004	0	0
II. Investing CF	**-21,456**	**-69,394**	**-35,200**	**-27,400**	**-22,700**	**-24,600**	**-23,800**	**-23,200**	**-33,048**	**-31,603**	**-16,923**	**-85,382**	**-68,512**	**-153,450**	**-94,300**	**-103,100**
Capex spend	-17,127	-14,108	-26,900	-27,400	-22,700	-24,600	-23,800	-23,200	-47,122	-49,430	-57,611	-51,406	-47,522	-85,535	-94,300	-103,100
Others	-4,329	-55,286	-8,300	0	0	0	0	0	14,074	17,828	40,688	-33,975	-20,990	-67,915	0	0
III. Financing CF	**-5,455**	**-17,885**	**-24,000**	**-32,951**	**-3,026**	**-3,025**	**-30,813**	**-63,771**	**-23,991**	**-19,390**	**-8,593**	**-7,797**	**-13,478**	**-80,292**	**-100,636**	**-103,136**
Changes in debts	2,892	-5,730	-5,210	-172	-170	-168	-167	-165	-1,109	-8,059	2,353	6,644	5,909	-8,220	-671	-644
Dividends	-14	-6,209	-2,456	-30,003	0	-32,434	-2,430	-30,213	-20,510	-9,814	-9,864	-10,889	-9,897	-38,682	-65,076	-98,243
Others	-719	-312	-3,834	-2,776	-2,856	29,577	-28,217	-33,394	-2,372	-1,517	-1,081	-1,741	407	-7,641	-34,889	-4,248
IV. Net CF (I+II+III)	**13,363**	**17,802**	**39,400**	**53,120**	**76,725**	**81,362**	**61,591**	**33,023**	**8,067**	**11,188**	**18,622**	**-20,196**	**3,325**	**123,684**	**252,702**	**242,189**
Cash at the beg.	125,847	147,378	189,999	214,823	267,943	344,668	426,030	487,621	124,581	124,150	115,227	92,407	112,652	125,847	267,943	520,645
Adjustments	-6,028	-20,620	-14,986	0	0	0	0	0	-8,498	-20,111	-41,442	-4,027	-18,529	-41,634	0	0
Cash at the end	**147,378**	**189,999**	**214,823**	**267,943**	**344,668**	**426,030**	**487,621**	**520,645**	**124,150**	**115,227**	**92,407**	**112,652**	**125,847**	**267,943**	**520,645**	**762,834**
DPS (W)	**372**	**374**	**4,601**	**4,601**	**370**	**370**	**4,601**	**9,620**	**1,444**	**1,444**	**1,444**	**1,446**	**1,668**	**9,948**	**14,961**	**15,331**

Source: Company, BofA Global Research estimates

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Exhibit 72: We expect exceptionally high 2026-28E FCF generation (around W200-300tn pa; far higher than 2018/20/22 upturn level) due to robust EBITDA driven by memory super-cycle along with disciplined capex spend; 50% of FCF to be used for buyback/dividend increase
SEC – Free cash flow (FCF) analysis

Wtn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales	133.9	171.5	195.3	222.4	219.1	217.5	242.1	242.1	279.6	302.2	258.9	300.9	333.6	723.0	920.8	975.0
Operating income	57.2	89.5	107.4	132.3	127.2	127.8	135.9	138.2	51.6	43.4	6.6	32.7	43.6	386.5	529.1	527.9
Depreciation & amort.	12.4	13.0	13.0	13.3	13.5	13.6	13.7	13.9	34.2	39.1	38.7	42.6	46.9	51.7	54.6	56.8
EBITDA	**69.6**	**102.5**	**120.4**	**145.6**	**140.7**	**141.4**	**149.6**	**152.0**	**85.9**	**82.5**	**45.2**	**75.4**	**90.5**	**438.2**	**583.7**	**584.7**
Capex (ex-Harman)	17.1	14.1	26.9	27.4	22.7	24.6	23.8	23.2	47.1	49.4	57.6	51.4	47.5	85.5	94.3	103.1
Net working capital (NWC)	59.0	70.4	78.2	77.8	84.8	85.9	86.2	84.4	20.9	31.1	36.2	36.5	34.2	77.8	84.4	92.1
Increase of NWC	24.8	11.5	7.7	-0.4	7.0	1.1	0.3	-1.8	6.3	10.2	5.1	0.2	-2.3	43.6	6.6	7.8
Taxes	11.6	22.8	23.4	33.4	32.1	32.3	34.4	34.9	13.4	-9.2	-4.5	3.1	4.3	91.2	133.8	133.7
Free cash flow (FCF)	**16.1**	**54.1**	**62.4**	**85.2**	**78.8**	**83.4**	**91.1**	**95.7**	**19.0**	**32.0**	**-13.0**	**20.6**	**41.0**	**217.8**	**349.1**	**340.1**
FCF without NWC change	40.9	65.6	70.1	84.8	85.8	84.5	91.4	93.9	25.3	42.3	-7.9	20.9	38.7	261.4	355.6	347.9

*FCF calculation for this table is based on simply "EBITDA - capex - working capital increase (ex-cash/debt current assets/liabilities) - tax" based formula
Source: Company, BofA Global Research estimates

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Price objective basis & risk

Samsung Electronics (SSNLF / SSNHZ)
Our PO of W450,000 is based on 7x 2027-28E P/E. This fair P/E of 7x is derived from lower band of previous peak cycle (7-10x, long-term historical average: low-teens) and bottom of proven foundry peer's 2009-2025 P/E band (10-20x), to be conservative (SEC's low EPS growth after 2026 upturn). Our GDR PO of US$8,400 is automatically calculated at an FX rate of near-W1.3k/USD.

Downside risks are related to US Big Tech' unexpected capex cut, excess supply of global memory following 2026-27 capex increase, potential competition with China chipmakers, and market-share loss to Asia/US peers.

Upside risks could come from stronger AI chip demand (from US Big Tech), market-share gains at the expense of Asia/US and even China competitors, more LTAs (long-term agreements) with OEMs/hyperscalers even for 2030, and significantly increasing shareholder returns using record-high FCF generation.

Samsung Electronics Preferred (SSNNF)
Samsung Electronics (SEC) has two types of shares, common and preferred. Our PO of W340,000 for the preferred shares is based on a 24% fair discount to the common shares, given no voting rights. However, the dividend amount is almost the same for both types. This offers a higher yield for the preferred shares vs the common. The discount ratio (preferred share price vs common) was c.10% in 2021-22, but it rose to near-20% in 2024-25 (undervalued vs the common) and 30%+ in 1H26. Having SEC's preferred shares also suggests a direct exposure to memory super-cycle given SEC's global leadership in DRAM, HBM and NAND.

Common share PO of W450,000 is based on 7x 2027-28E P/E. This fair P/E of 7x is derived from lower band of previous peak cycle (7-10x, long-term historical average: low-teens) and bottom of proven foundry peer's 2009-2025 P/E band (10-20x), to be conservative (SEC's low EPS growth after 2026 upturn).

Downside risks are related to US Big Tech' unexpected capex cut, excess supply of global memory following 2026-27 capex increase, potential competition with China chipmakers, and market-share loss to Asia/US peers.

Upside risks could come from stronger AI chip demand (from US Big Tech), market-share gains at the expense of Asia/US and even China competitors, more LTAs (long-term agreements) with OEMs/hyperscalers even for 2030, and significantly increasing shareholder returns using record-high FCF generation.

SK Hynix (HXSCF, W1,526,000,C-1-7 / SKHY, US$162.09, C-1-7)
Our PO of W3,000,000 is derived from 7x 2027-28E EPS. Our 7x target P/E is based on the midpoint between the previous peak cycle (4-5x in 2017-18 during the cloud boom) and the long-term historical average (low teens). This is slightly below our fair multiples for global DRAM peers (9-11x) given elevated share-price volatility in 1H26 and July. Investors may be concerned about a potential downturn (2027 or 2028), given the strong 2025-26 earnings results. This is the rationale for using the 2027-28 valuation period and excluding 2026. We believe the company's proven earnings strength in 2026 and estimated record-high earnings in 2027-28, along with its global leadership position and high-margin profile, will lead to a re-rating to above 7x fair P/E. Upside risk is stronger-than-expected AI chip demand from US Big Tech, while downside risk also relates primarily to weaker chip demand.

Our ADR PO of US$268 is derived from a 20% premium vs our local share fair value and FX rate of W1.34k/USD. The ADR premium has continuously been 20%+ since its IPO (10

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July 2026). US listed competitors' 20%+ higher P/E (vs Asian local memory peers) also supports our target ADR premium. Upside/downside risk should be related to US listed competitors' valuation multiple changes and FX rate fluctuations.

Analyst Certification

We, Simon Woo, CFA and Matt Shin, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

Korea imposes a capital gains tax on non-resident investors in Korean securities of the lesser of 22% of the net gain or 11% of the gross sales proceeds unless the investor is either (1) resident in a country which has a double tax treaty with Korea that exempts the investor's capital gains from Korean tax or (2) the shares sold are sold through the Korea Stock exchange or KOSDAQ exchange and the seller (including related parties) has not owned 25% or more of the shares of the issuer at any time during the year of sale plus the 5 calendar years preceding the year of sale. Investors should seek their own tax advice.

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	CXMT	XCXMF	688825 CH	Dai Shen
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Haas Liu
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMXSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Corp.	XUMIF	2303 TT	Haas Liu
	United Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

IQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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Valuation Toolkit	Numerator	Denominator

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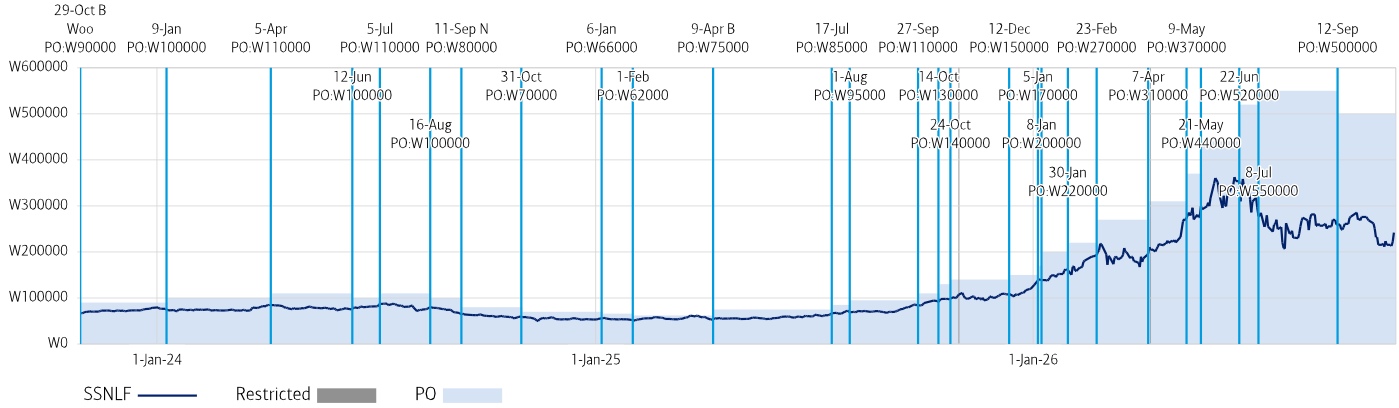
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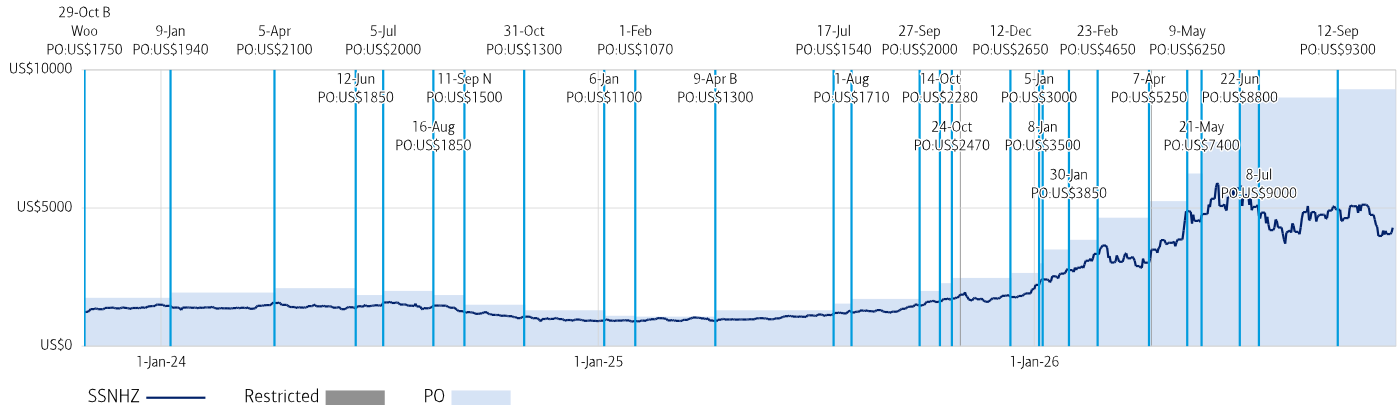
Samsung common (SSNLF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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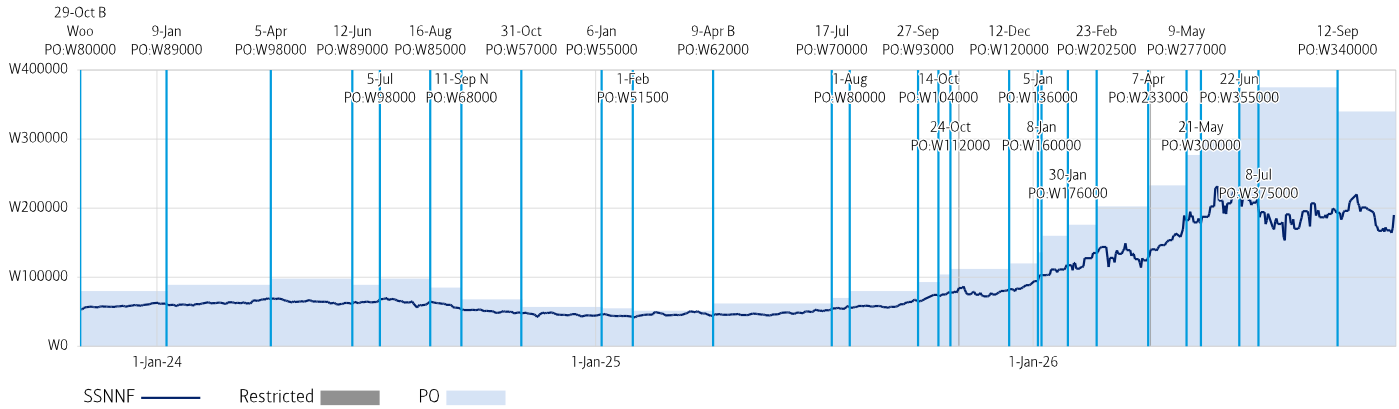
Samsung Elec -G (SSNHZ) Price Chart



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Samsung preferred (SSNNF) Price Chart

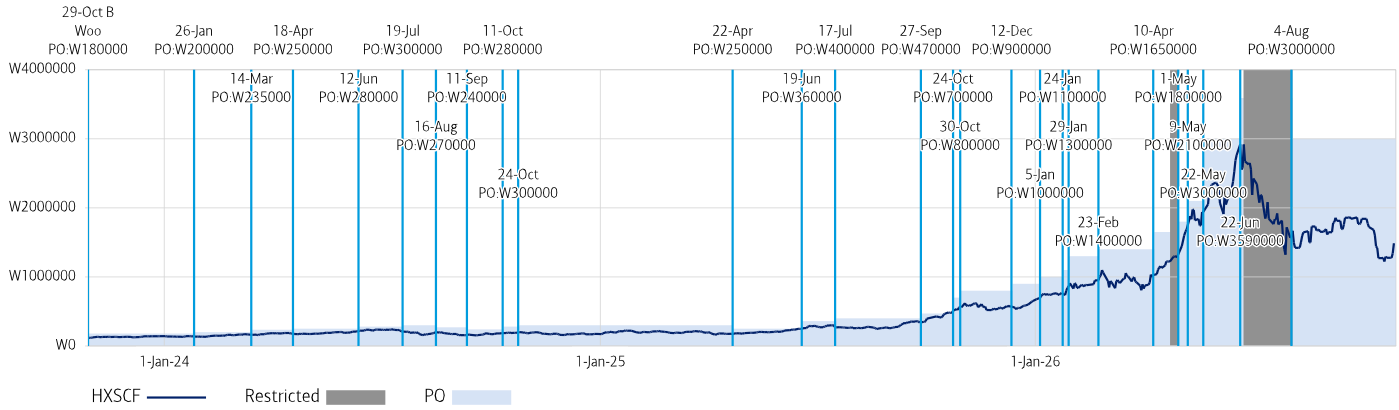


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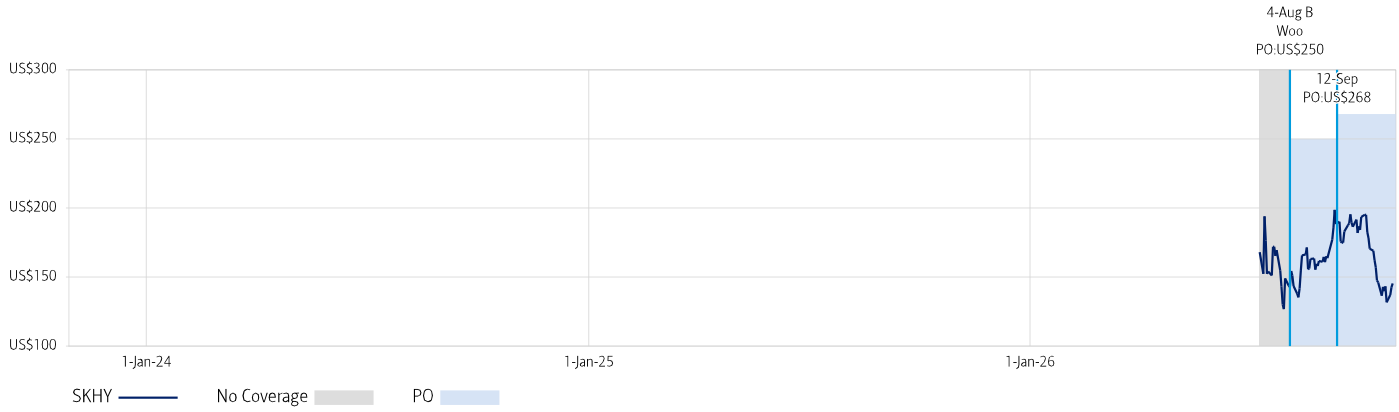
SK Hynix (HXSCF) Price Chart



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SK Hynix ADR (SKHY) Price Chart



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Equity Investment Rating Distribution: Electrical Equipment Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	18	66.67%	Buy	10	55.56%
Hold	3	11.11%	Hold	2	66.67%
Sell	6	22.22%	Sell	2	33.33%

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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